

UPM

UPM.HE • NASDAQ Helsinki • Paper, Lumber & Forest Products • Finland

COMPANY PROFILE

UPM is a forest-products group with operations spanning market pulp, Finnish forests, low-carbon electricity, self-adhesive label materials, specialty papers, declining graphic papers and emerging wood-based biochemicals. Its asset base includes large-scale pulp mills in Uruguay and Finland, Nordic hydro and nuclear interests, converting and paper facilities, and the Leuna biorefinery in Germany.

RECOMMENDATION

HOLD

12-month horizon

CURRENT PRICE

23.00 EUR

as of report date

TARGET PRICE

24.10 EUR

12-month fundamental

IMPLIED UPSIDE

+4.8%

vs. current price

MARKET CAP

EUR 12.1 bn

shares × price

ENTERPRISE VALUE

EUR 15.3 bn

mcap + EV adjustments

P/E 2026E

13.5×

EV/EBITDA 2026E

8.3×

FCF YIELD 2026E

9.6%

DIVIDEND YIELD
2026E

6.0%

NET DEBT / EBITDA
2026E

1.5×

RESEARCH SNAPSHOT

The call, the math, and the three reasons why

02

A one-page summary of the recommendation and the evidence behind it; the following pages provide the detail.

RECOMMENDATION HOLD 12-month horizon	TARGET PRICE 24.10 EUR 12-month fundamental	CURRENT PRICE 23.00 EUR as of report date	IMPLIED UPSIDE +4.8% vs. current price
MARKET CAP EUR 12.1 bn shares × price	ENTERPRISE VALUE EUR 15.3 bn mcap + EV adjustments	P/E · EV/EBITDA 2026E 13.5x · 8.3x history + peers, see p. 18–19	FCF · DIV YIELD 2026E 9.6% · 6.0%

■ 01 Low-cost Uruguay platform Paso de los Toros has 2.1 million tonnes of annual capacity and a confirmed approximately USD 280 per delivered tonne cash-cost objective. At nominal production, small changes in pulp price create large incremental earnings because the fixed asset is already built. USD 280/t	02 Scarce low-carbon power and forests UPM is Finland's second-largest electricity producer and generated 10.7 TWh in 2025. Its 522,000 hectares of Finnish forest land provide physical asset backing and an internal wood-sourcing position that is difficult to replicate. 10.7 TWh	03 Portfolio simplification The planned WISA demerger and proposed 50/50 UPM-Sappi graphic-paper joint venture can make capital allocation more transparent. The benefit depends on shareholder and competition processes that were not complete on the report date. 50/50 JV
THESIS BREAKER	A sustained pulp-price decline combined with failed Leuna economics and delayed graphic-paper restructuring would invalidate the EUR 24.1 valuation.	

SHARE PRICE DEVELOPMENT

Price trajectory and valuation anchors

03

Weekly closing prices over 36 months with the 12-month target price, alongside key market data.

Share price — last 36 months

EUR per share, with 12-month target line



CURRENT PRICE

23.00 EUR

17 August 2026

TARGET PRICE

24.10 EUR

12-month

IMPLIED UPSIDE

+4.8%

vs. current

52-WEEK HIGH

27.94 EUR

past 12m

52-WEEK LOW

21.72 EUR

past 12m

1-YEAR CHANGE

-4.4%

price only

3-YEAR CHANGE

-21.5%

price only

REPORT DATE

17 August 2026

READING THE MOVE

The evidence links weaker 2025 sales to subdued pulp and paper conditions, while 2026 operating support came from Uruguay efficiency, lower Finnish pulpwood prices and stronger Nordic power prices. Leuna ramp-up losses and uncertainty around the proposed graphic-paper joint venture remain offsets. A complete causal explanation for every share-price move is not available in the source data; the EUR 24.1 target leaves only modest rerating potential.

VALUE BREAKDOWN · PART 1

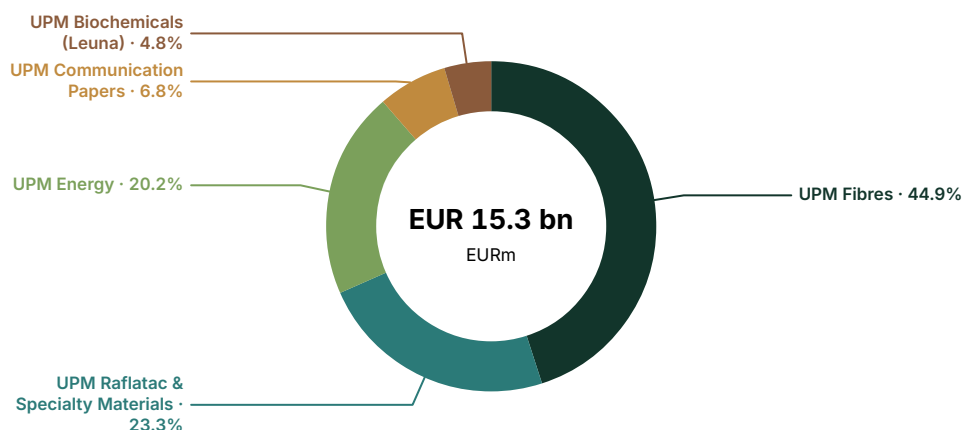
Enterprise - value allocation by business division

04

Where the market value sits across current businesses and long-term strategic options.

Enterprise value by business division

EUR millions · current analytical allocation



VALUE AND EARNINGS BY BUSINESS DIVISION

Analytical enterprise - value allocation against reported economics. "Reported" rows match a verified company - reported segment; "Modelled allocation" rows are model - side splits. Business divisions may differ from company - reported accounting segments.

	EV	EV %	REVENUE	REV %	COMP. EBIT	COMP. EBIT % OF TOTAL	BASIS
UPM Fibres	6,860	44.9%	3,600	37.3%	500	66.1%	Modelled allocation
UPM Raflatac & Specialty Materials	3,565	23.3%	3,000	31.1%	330	43.6%	Modelled allocation
UPM Energy	3,083	20.2%	700	7.2%	200	26.4%	Modelled allocation
UPM Communication Papers	1,034	6.8%	2,500	25.9%	140	18.5%	Modelled allocation
UPM Biochemicals (Leuna)	727	4.8%	200	2.1%	-65	-8.6%	Modelled allocation
Total	15,269	100.0%	9,656	103.6%	757	146.0%	

VALUE BREAKDOWN · PART 2

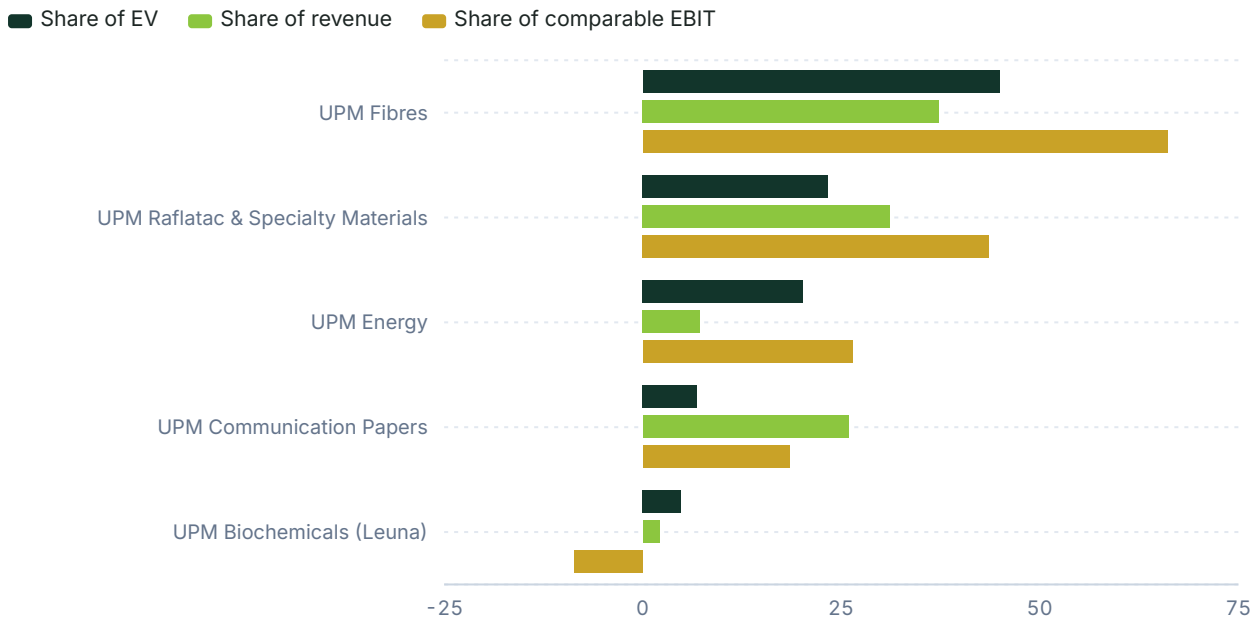
Where value sits versus where money is earned

05

Each business division's share of enterprise value against its share of group revenue and profit. A division holding value it does not yet earn is where the valuation rests on the future; the full figures are in the allocation table on the previous page.

Share of enterprise value vs revenue and profit

Per cent of group total · modelled allocation



INTERPRETATION

Approximately 45% of target EV forms in Fibres, chiefly through Uruguay's cost position and pulp-price spreads; a further 44% forms in Energy and Raflatac & Specialty Materials, where availability and pass-through matter more than commodity volume. Communication Papers contributes about 7% as a managed-decline asset, while Leuna contributes about 5% only after probability weighting.

RECOMMENDATION

Why we land on the call we do

06

How the assembled evidence adds up to the call: what the price assumes, what the clues say, and what would change our view. The decision summary and the three headline reasons are on the snapshot page.

HOLD. The 12-month target price is EUR 24.1, implying 4.8% upside from the current price of EUR 23.00.

The current price appears to require a durable recovery from the market-implied 2026 EBIT margin of 9.4%, but not the full analyst-maintained forecast of 11.1%. It also discounts a terminal EBIT margin of 12.1%, meaning that the market already assumes substantial improvement from the 7.8% reported in 2025. Evidence supports some recovery: UPM reported a 24% comparable EBIT margin in Fibres South in Q2 2026, while Finnish pulpwood prices were approximately 30% lower year on year in H1 2026. Against that, Leuna lost EUR 65 million in H1 and Energy faces approximately EUR 90 million of H2 maintenance costs, according to UPM on 23 July 2026.

The strongest argument against HOLD is that the market materially undervalues UPM's scarce assets. The company owns 522,000 hectares of Finnish forest land, carried at EUR 1.8 billion, while applying the 2025 median transaction price of EUR 4,400 per hectare implies EUR 2.3 billion. The ROE/P/BV universe comparison also indicates EUR 29.8 per share at a 1.5x curve-implied P/BV. Those observations establish asset support, but they do not remove the earnings volatility created by pulp, electricity availability and the structural decline in graphic paper.

The call would move toward BUY if Paso de los Toros sustains approximately USD 280 per delivered tonne, pulp prices rise without a corresponding wood-cost increase, and Leuna demonstrates positive EBIT with binding premium contracts. It would move toward SELL if a EUR 50 per tonne pulp-price decline becomes persistent, OL3 availability deteriorates beyond scheduled maintenance, or Communication Papers fails to remove capacity in line with demand. The UPM-Sappi joint venture is strategically sensible, but the European Commission investigation remained suspended as of 26 May 2026, so regulatory timing cannot yet be treated as secured.

07

How the company creates economic value

The framework underlying the business division deep dives that follow.

Enterprise value forms first in Fibres: the one number is approximately USD 280 per delivered tonne at Paso de los Toros, because UPM's EUR 50 per tonne pulp-price sensitivity equals EUR 180 million of annual comparable EBIT. Energy's number is EUR 40 million of annual EBIT for each EUR 10/MWh Finnish-price movement, conditioned on nuclear availability. Raflatac & Specialty Materials' number is the combined margin: every percentage point on EUR 3 billion of modelled revenue equals EUR 30 million of EBIT.

Communication Papers is governed by the ratio of closure pace to demand decline: UPM cut capacity 13% against an approximately 8% European demand decline in 2025. Leuna is governed by the transition from EUR 65 million of H1 losses to positive EBIT in 2027 and by whether 220,000 tonnes of nameplate capacity can support binding premium contracts. These variables provide a usable monitoring framework even if the EUR 24.1 target is rejected.

ANALYTICAL ANCHOR

The portfolio is not one pulp multiple: cost per tonne, EUR/MWh availability, materials margin, closure discipline and Leuna yield each require a separate valuation grammar.

08.1

UPM Fibres

Business division deep dive — Commodity.

WHY THE MARKET VALUES IT

UPM Fibres is the largest business division because it combines an established market-pulp system, a structurally low-cost Uruguay platform, Finnish wood integration and material sensitivity to global pulp prices. The model allocates EUR 7.1 billion of enterprise value to the division, or approximately 45% of the target enterprise value, using modelled 2027 EBITDA of EUR 800 million at 8.9x. That multiple is above Suzano's 2026e 4.6x EV/EBITDA because UPM Fibres includes Finnish forests and a geographically diversified pulp system, but below UPM's normalized historical group average of 11.01x. The valuation is therefore not a pure commodity-pulp multiple and should not be read as one. The decisive operating fact is the approximately USD 280 per delivered tonne cash-cost objective for Paso de los Toros, confirmed by UPM on 23 July 2026. The decisive valuation fact is UPM's disclosure that a EUR 50 per tonne change in average pulp price changes annual comparable EBIT by approximately EUR 180 million.

The market should value the Uruguay mills differently from marginal northern capacity because each occupies a different position on the cost curve. Paso de los Toros completed its first full year at nominal capacity in 2025 and contributes 2.1 million tonnes of annual eucalyptus-pulp capacity, while the total UPM pulp system has 5.8 million tonnes across five mills. UPM Fibres South earned EUR 101 million of comparable EBIT at a 24% margin in Q2 2026, demonstrating that the southern platform can produce attractive earnings before a full commodity-cycle peak. In contrast, Fibres North remains exposed to Finnish wood costs, mill availability and the NBSK/BHKP spread. The value rests on treating South as a low-cost annuity-like commodity asset and North as a more cyclical but strategically integrated system. It breaks if the quoted cash-cost objective proves unachievable through a complete maintenance and logistics cycle.

UPM FIBRES FACT SHEET

COMMODITY

MODEL ESTIMATE REVENUE

EUR 3,600m

MODEL ESTIMATE COMPARABLE EBIT

EUR 500m

MODELLED 2026 EBIT MARGIN

13.9%

TARGET VALUATION BASIS

EUR 800m EBITDA × 8.9x

PULP CAPACITY

5.8m t/a across five mills

2025 PULP DELIVERIES

5.16m tonnes

PASO DE LOS TOROS CAPACITY

2.1m t/a

PASO CASH-COST OBJECTIVE

About USD 280/delivered tonne

PRICE SENSITIVITY

EUR 50/t = EUR 180m annual EBIT

FINNISH FOREST OWNERSHIP

522,000 hectares

08.1

UPM Fibres (continued)

Business division deep dive — Commodity.

MARKET STRUCTURE AND DEMAND

The global wood-pulp market was estimated at USD 168.4 billion by Mordor Intelligence on 26 May 2026 and USD 171.15 billion by Expert Market Research on 6 August 2026. The estimates conflict modestly, so the analysis uses them only as a range rather than manufacturing a single precise market size. Demand is global, but competitive advantage forms locally through plantation yield, wood distance, energy integration, mill scale and access to ports. Suzano sold 12.7 million tonnes of pulp in the twelve months to March 2026, compared with UPM's reported 5.16 million tonnes of deliveries in 2025. UPM described itself as the world's third-largest market-pulp supplier in September 2024, while Fitch described Arauco as the third-largest market-pulp company in April 2025. The ranking conflict is best resolved by treating UPM and Arauco as members of the next tier below Suzano rather than relying on an exact ordinal position.

Demand quality also depends on grade. UPM supplies hardwood, eucalyptus and softwood pulp, so the NBSK/BHKP spread affects the relative contribution of the Finnish and Uruguay assets. UPM is the second-largest supplier of eucalyptus pulp in North America, according to the company on 30 June 2025, which indicates commercial access but does not establish a precise global market share. Asia remains critical to global clearing prices, but a current regional demand split is not available in the source data. Supply additions matter more than broad market-value forecasts because Arauco's Sucuriú project is expected by Fitch to make Arauco the world's second-largest producer after completion in late 2027. The valuation consequently assumes no scarcity multiple for generic hardwood pulp. It assumes instead that UPM earns a cost-curve spread through Uruguay and preserves optionality from its softwood position.

COMPETITIVE POSITION

- UPM: 5.8m t/a pulp capacity across five mills in 2026; 5.16m tonnes delivered in 2025; source: UPM, 11 August 2026, and TechSci Research, 15 May 2026.
- Suzano: 12.7m tonnes sold in the year to March 2026; source: Suzano, 30 April 2026.
- Metsä Fibre: approximately 4.0m t/a pulp capacity in 2025; source: Metsä Board, 30 June 2025.
- Mercer International: approximately 2.1m ADMT annual market-kraft-pulp capacity in 2025; source: Mercer International, 12 February 2026.

UPM FIBRES FACT SHEET

COMMODITY

MODEL ESTIMATE REVENUE

EUR 3,600m

MODEL ESTIMATE COMPARABLE EBIT

EUR 500m

MODELLED 2026 EBIT MARGIN

13.9%

TARGET VALUATION BASIS

EUR 800m EBITDA × 8.9x

PULP CAPACITY

5.8m t/a across five mills

2025 PULP DELIVERIES

5.16m tonnes

PASO DE LOS TOROS CAPACITY

2.1m t/a

PASO CASH-COST OBJECTIVE

About USD 280/delivered tonne

PRICE SENSITIVITY

EUR 50/t = EUR 180m annual EBIT

FINNISH FOREST OWNERSHIP

522,000 hectares

08.1

UPM Fibres (continued)

Business division deep dive — Commodity.

UPM's principal advantage is not absolute scale: Suzano is more than twice UPM's delivery volume and is estimated by Quipus Capital to hold approximately 30% of global hardwood pulp. UPM's advantage is portfolio configuration, including two Uruguay mills, northern softwood capability, owned Finnish forests and the ability to optimize wood, energy and logistics across the group. The disadvantage is that northern mills face a structurally different cost base from Brazilian and Uruguayan eucalyptus assets. Arauco reported a 26.1% adjusted EBITDA margin for pulp and forestry in Q3 2025, while UPM Fibres South reported a 24% comparable EBIT margin in Q2 2026; these are not identical accounting metrics but demonstrate the profitability available to competitive South American assets. UPM's Q2 delivery volume of 1.32 million tonnes annualizes close to its 2025 delivery run rate, although one quarter should not be interpreted as normalized utilization. The investment case therefore depends more on mix and unit margin than on headline volume growth.

The Finnish forest estate strengthens UPM's competitive position but requires careful valuation treatment. UPM owned 522,000 hectares at the end of 2025, with a carrying value of EUR 1.8 billion based on a discounted-cash-flow model. The National Land Survey of Finland reported a 2025 median forest-land transaction price of approximately EUR 4,400 per hectare, implying EUR 2.3 billion through simple multiplication. The market-price calculation may overstate realizable value because the productive-area mix and parcel quality are not available in the source data. Conversely, the carrying value may understate strategic value where ownership protects mill wood supply. The SOTP multiple recognizes the estate through a premium to pure-play pulp peers but does not add the full EUR 2.3 billion separately, avoiding double counting.

UPM FIBRES FACT SHEET

COMMODITY

MODEL ESTIMATE REVENUE

EUR 3,600m

MODEL ESTIMATE COMPARABLE EBIT

EUR 500m

MODELLED 2026 EBIT MARGIN

13.9%

TARGET VALUATION BASIS

EUR 800m EBITDA × 8.9x

PULP CAPACITY

5.8m t/a across five mills

2025 PULP DELIVERIES

5.16m tonnes

PASO DE LOS TOROS CAPACITY

2.1m t/a

PASO CASH-COST OBJECTIVE

About USD 280/delivered tonne

PRICE SENSITIVITY

EUR 50/t = EUR 180m annual EBIT

FINNISH FOREST OWNERSHIP

522,000 hectares

08.1

UPM Fibres (continued)

Business division deep dive — Commodity.

UNIT ECONOMICS

Paso de los Toros is designed for approximately USD 280 per delivered tonne after optimization, compared with CMPC's reported BEKP cash cost of USD 254 per tonne in Q2 2026 and USD 262 per tonne in Q1 2026. Eldorado Brasil's approximately USD 175 per tonne in 2023 was lower, but it is older evidence and should not be treated as the current threshold for the whole industry. Suzano reported BRL 843 per tonne in Q2 2026, up from BRL 817 for 2025 and BRL 802 in Q1 2026; currency and cost-definition differences prevent a clean conversion from the supplied evidence. These comparisons place UPM's objective in a competitive range without proving that Paso is the absolute low-cost producer. The distinction matters because a USD 25 per tonne miss over 2.1 million tonnes would represent approximately USD 52.5 million of annual cost before tax and currency effects. The model does not assume performance better than the company's stated objective.

The key bridge from unit economics to group value is UPM's own pulp-price sensitivity. A EUR 50 per tonne movement changes annual comparable EBIT by approximately EUR 180 million, equivalent to EUR 3.6 million of EBIT for each EUR 1 per tonne across the relevant exposure. That sensitivity is net rather than a simple multiplication of total tonnes, reflecting contracts, grades, currencies and costs. At the selected 8.9x EBITDA multiple, an enduring EUR 180 million earnings movement could create a gross EV change substantially larger than one year's cash effect, although the appropriate capitalization would depend on cycle duration. Finnish pulpwood prices were approximately 30% lower year on year in H1 2026, according to UPM's Q2 reporting, providing a counterweight to weaker northern sales. Fibres South separately stated that efficiency and wood-sourcing improvements fully offset higher logistics and other costs in Q2 2026. Those facts support recovery but do not establish a permanent margin.

UPM FIBRES FACT SHEET

COMMODITY

MODEL ESTIMATE REVENUE

EUR 3,600m

MODEL ESTIMATE COMPARABLE EBIT

EUR 500m

MODELLED 2026 EBIT MARGIN

13.9%

TARGET VALUATION BASIS

EUR 800m EBITDA × 8.9x

PULP CAPACITY

5.8m t/a across five mills

2025 PULP DELIVERIES

5.16m tonnes

PASO DE LOS TOROS CAPACITY

2.1m t/a

PASO CASH-COST OBJECTIVE

About USD 280/delivered tonne

PRICE SENSITIVITY

EUR 50/t = EUR 180m annual EBIT

FINNISH FOREST OWNERSHIP

522,000 hectares

08.1 UPM Fibres (continued)

Business division deep dive — Commodity.

ECONOMICS BRIDGE

The division model uses EUR 3.6 billion of 2026 revenue, EUR 500 million of EBIT and EUR 800 million of 2027 EBITDA; these are analyst allocations, not approved reported - segment figures. No reported segment numbers are used because the independent fact gate found that the supplied FY2025 segment table did not reconcile and did not apply the January 2026 restatement consistently. The modelled revenue allocation equals 36% of the EUR 10 billion group forecast and is checked against 5.8 million tonnes of capacity rather than presented as company disclosure. The valuation applies 8.9x to EUR 800 million, producing EUR 7.1 billion of EV. A pure Suzano benchmark would imply a much lower multiple, while UPM's 11.01x normalized historical group EV/EBITDA would imply a higher value. The selected point compensates for forests and diversification but retains a cycle discount.

The economic sequence is volume multiplied by realized pulp price, less variable wood, chemicals, energy and logistics, less mill fixed costs and maintenance. South provides the stronger cash - cost position, while North supplies softwood exposure and integrates with owned forests. Forest fair - value changes entered Fibres North segment results from 1 January 2026 after the Finnish forest business moved from Other Operations, which can complicate comparisons of accounting EBIT through time. For that reason, the valuation emphasizes EBITDA and physical cash - cost evidence rather than extrapolating a single reported comparable - EBIT quarter. The model also avoids capitalizing the 2025 median forest - land index as a separate liquid security. Cash conversion remains the ultimate test because the group invested heavily before returning to EUR 1.6 billion of FCFF in 2025.

GAP TO REQUIRED ECONOMICS

The EUR 7.1 billion value requires that the Uruguay platform remain around its stated cost objective and that the group avoid a prolonged pulp - price trough. It does not require UPM to match Eldorado's 2023 USD 175 per tonne indication or Suzano's absolute scale. It does require Fibres EBITDA to reach EUR 800 million, which is EUR 300 million above the modelled current EBIT before depreciation and therefore sensitive to the precise depreciation allocation. The available evidence supports EUR 187 million of H1 2026 comparable EBIT in Fibres South, but it does not provide a current full - division utilization percentage or a complete cost per tonne. North must benefit from lower Finnish wood prices without surrendering the benefit through lower selling prices or outages. If a EUR 50 per tonne adverse pulp movement persists, the disclosed EUR 180 million annual EBIT impact would consume a material portion of the required improvement.

UPM FIBRES FACT SHEET

COMMODITY
MODEL ESTIMATE REVENUE EUR 3,600m
MODEL ESTIMATE COMPARABLE EBIT EUR 500m
MODELLED 2026 EBIT MARGIN 13.9%
TARGET VALUATION BASIS EUR 800m EBITDA × 8.9x
PULP CAPACITY 5.8m t/a across five mills
2025 PULP DELIVERIES 5.16m tonnes
PASO DE LOS TOROS CAPACITY 2.1m t/a
PASO CASH - COST OBJECTIVE About USD 280/delivered tonne
PRICE SENSITIVITY EUR 50/t = EUR 180m annual EBIT
FINNISH FOREST OWNERSHIP 522,000 hectares

08.1 UPM Fibres (continued)

Business division deep dive — Commodity.

There is also a valuation gap relative to pure-play peers. Suzano trades at 4.6x 2026e EV/EBITDA and Stora Enso at 7.9x, while the selected division multiple is 8.9x. The premium is justified only if the forests, Uruguay cash-cost position and grade diversity produce less downside than a standard pulp producer. Arauco's expected late-2027 capacity expansion challenges that argument by adding competitive supply. If investors assign only Stora Enso's 7.9x to the same EUR 800 million, division EV falls by EUR 800 million. If they assign Suzano's 4.6x, the loss is EUR 3.4 billion. The thesis therefore needs evidence of quality through realized margins and cash flow, not merely management descriptions.

MILESTONES

The next operational milestones are maintenance-adjusted production, confirmation of delivered cash cost and price realization through the second half of 2026. Paso de los Toros already completed its first full year at nominal capacity in 2025, so continued ramp-up language should give way to measurable optimization benefits. Fibres South needs to maintain margins near the Q2 2026 level through a less favorable quarter before the model treats 24% as durable. Fibres North needs to translate the approximately 30% year-on-year reduction in pulpwood prices into improved earnings. A current full-year cash-cost figure for Paso and a precise division utilization rate are not available in the source data. Their disclosure would materially reduce uncertainty in the largest business division.

Regulation creates a second milestone sequence. The EUDR application date for large and medium operators was postponed to 30 December 2026, and Regulation 2025/2650 created a downstream-operator category that limits due-diligence communication obligations to the first downstream actor. The European Commission's May 2026 simplification package was estimated by QAssurance to reduce annual compliance costs by approximately 75% relative to the original regime. UPM Timber temporarily suspended attaching EUDR reference numbers to sales documents on 16 February 2026 because of TRACES access limitations. This evidence indicates implementation friction rather than a demand constraint. The valuation assumes compliance is manageable and does not include an unverified EUDR price premium.

SIGNAL MAP

- Positive signal: Fibres South sustains a comparable EBIT margin near 24% after scheduled maintenance and logistics normalization.
- Positive signal: Finnish pulpwood remains near the H1 2026 level, approximately 30% below the prior year.
- Negative signal: a sustained EUR 50/t pulp-price decline, corresponding to about EUR 180m annual comparable-EBIT pressure.
- Negative signal: new South American supply lowers realized hardwood prices before Paso reaches stable cash cost.

UPM FIBRES FACT SHEET

COMMODITY

MODEL ESTIMATE REVENUE
EUR 3,600m

MODEL ESTIMATE COMPARABLE EBIT
EUR 500m

MODELLED 2026 EBIT MARGIN
13.9%

TARGET VALUATION BASIS
EUR 800m EBITDA × 8.9x

PULP CAPACITY
5.8m t/a across five mills

2025 PULP DELIVERIES
5.16m tonnes

PASO DE LOS TOROS CAPACITY
2.1m t/a

PASO CASH-COST OBJECTIVE
About USD 280/delivered tonne

PRICE SENSITIVITY
EUR 50/t = EUR 180m annual EBIT

FINNISH FOREST OWNERSHIP
522,000 hectares

08.1

UPM Fibres (continued)

Business division deep dive — Commodity.

Price, cost and volume signals should be read together. Rising deliveries with deteriorating price can destroy more value than a temporary volume outage, because the disclosed price sensitivity is large. Falling Finnish wood costs are constructive only if UPM retains the spread rather than passing it through immediately. Fibres South margins are the best public indicator of the Uruguay cost position, while maintenance-adjusted tonnes would be the cleanest physical indicator. Forest fair-value changes should be separated from industrial performance when interpreting Fibres North. The thesis weakens before reported group earnings fail if cash cost rises, pulp inventories build and competitor supply expands simultaneously.

ASSESSMENT

UPM Fibres deserves the highest value allocation, but it does not deserve a peak-cycle multiple. The Uruguay platform has demonstrated nominal production and a 24% comparable EBIT margin, while the Finnish estate supplies tangible asset support. The primary uncertainty is whether approximately USD 280 per delivered tonne is a sustained achieved cost or an objective that requires favorable logistics and plantation conditions. The second uncertainty is price: UPM's EUR 180 million sensitivity makes even a moderate pulp move material to group EBIT. The selected EUR 7.1 billion value balances those strengths and risks. A portfolio manager rejecting the multiple should focus first on the USD-per-tonne cost and EUR-per-tonne price assumptions, because those variables dominate the division's valuation path.

UPM FIBRES FACT SHEET

COMMODITY

MODEL ESTIMATE REVENUE
EUR 3,600m

MODEL ESTIMATE COMPARABLE EBIT
EUR 500m

MODELLED 2026 EBIT MARGIN
13.9%

TARGET VALUATION BASIS
EUR 800m EBITDA × 8.9x

PULP CAPACITY
5.8m t/a across five mills

2025 PULP DELIVERIES
5.16m tonnes

PASO DE LOS TOROS CAPACITY
2.1m t/a

PASO CASH-COST OBJECTIVE
About USD 280/delivered tonne

PRICE SENSITIVITY
EUR 50/t = EUR 180m annual EBIT

FINNISH FOREST OWNERSHIP
522,000 hectares

PULP SCALE, COST AND PROFITABILITY COMPARISON			
OPERATOR	CAPACITY OR DELIVERIES	CASH-COST EVIDENCE	PROFITABILITY EVIDENCE
UPM	5.8m t/a capacity (2026)	Paso target USD280/t (H1 2026)	South EBIT margin 24% (Q2 2026)
Suzano	12.7m t sold (to Mar-26)	BRL843/t (Q2 2026)	Net price USD599/t (Q2 2026)
Arauco	Global top tier (2025)	Not available in source data	Adj. EBITDA margin 26.1% (Q3 2025)
CMPC	Major BEKP operator (2026)	USD254/t (Q2 2026)	Not available in source data
Metsä Fibre	About 4.0m t/a (2025)	Not available in source data	Not available in source data

08.2

UPM Raflatac & Specialty Materials

Business division deep dive — Profit engine.

WHY THE MARKET VALUES IT

UPM Raflatac & Specialty Materials is the second-largest business division because it combines a global number-two self-adhesive-materials franchise with specialty papers serving packaging, release-liner and technical applications. The model allocates EUR 3.7 billion of EV, or approximately 23% of target enterprise value, using EUR 400 million of modelled 2027 EBITDA and a 9.25x multiple. Unlike pulp, this pool can create value through mix, product design, converter relationships and raw-material pass-through rather than relying mainly on one commodity price. Adhesive Materials achieved a 10% comparable EBIT margin with 5% sales growth in Q2 2026, while Specialty Materials reported a 12% margin. Those margins establish current profitability but do not yet prove that premium applications can lift the combined pool sustainably above the low teens. The valuation rests on modest margin progression and continued growth in higher-specification labels.

The market should distinguish this pool from Communication Papers even though both consume pulp and run paper or coating assets. Labels and specialty materials serve packaging, pharmaceutical, food, wine and spirits, electronics and industrial applications with more resilient end demand than advertising and publishing. UPM's Mills River investment targets advanced label materials in North American pharmaceutical and wine-and-spirits markets, where qualification and reliability can matter more than base-material price. PharmaSure, launched on 8 June 2026, is designed for demanding pharmaceutical labels and is an example of the required mix shift. Forest Film's use in Lumene cosmetics packaging and OptiCut WashOff for reusable food containers demonstrate sustainability-led product differentiation. These products create value only if they scale beyond launches into repeat converter and brand-owner demand.

MARKET STRUCTURE AND DEMAND

The global self-adhesive-label market was valued at USD 53.73 billion for 2025 by Fortune Business Insights on 20 July 2026. This market-value estimate includes activities beyond UPM's labelstock manufacturing scope, so it cannot be used directly to infer UPM's revenue share. UPM is the second-largest producer of self-adhesive label materials worldwide, according to its 2025 Annual Report. Towards Packaging estimated that leading players such as UPM hold shares in a broad 5-12% range in 2026, but the source does not isolate an exact UPM percentage. Food represented 28.46% of the linerless-label end-user market in 2025, according to Mordor Intelligence on 2 July 2026. The demand thesis is therefore broad packaging resilience plus share gains in technically demanding niches, not a precise market-share forecast.

UPM RAFLATAC & SPECIALTY MATERIALS FACT SHEET

PROFIT ENGINE

MODEL ESTIMATE REVENUE
EUR 3,000m

MODEL ESTIMATE COMPARABLE EBIT
EUR 330m

MODELLED 2026 EBIT MARGIN
11.0%

TARGET VALUATION BASIS
EUR 400m EBITDA × 9.25x

ADHESIVE MATERIALS SALES
EUR 1,655m in 2025

SPECIALTY MATERIALS ALLOCATION
EUR 1,315m cited for 2025

SPECIALTY PRODUCTION CAPACITY
2.0m t/a across four mills

ADHESIVE MARKET POSITION
Global No. 2

Q2 2026 ADHESIVE MARGIN
10% comparable EBIT

Q2 2026 SPECIALTY MARGIN
12% comparable EBIT

08.2

UPM Raflatac & Specialty Materials (continued)

Business division deep dive — Profit engine.

Specialty papers have a different market structure. UPM and Sappi were estimated to rank among the global top five and together hold approximately 9% of the specialty-paper market in 2025, according to Future Market Insights. Paper-based liners represented 55.67% of release-liner volume in 2025, with UPM cited as a market leader by SNS Insider on 17 March 2026. Another SNS Insider estimate placed UPM's share of BOPP adhesive films at 38.5% in 2025, but this narrow-product estimate is not corroborated by UPM and should not be generalized to the whole label market. Specialty Materials has 2.0 million tonnes of capacity across four mills in Finland, China and Germany, giving it scale across regional customers. Exact utilization is not available, so the model does not infer volume growth from capacity alone.

COMPETITIVE POSITION

- UPM Adhesive Materials: EUR1.7 billion sales in 2025 and global No. 2 position; source: UPM Annual Report 2025, published 4 March 2026.
- Avery Dennison Materials Group: approximately USD6.1bn sales in 2025; source: ASI, 7 July 2026.
- CCL Industries: USD7.66bn group sales in 2025 and described as the largest label company; source: CCL Industries, 26 February 2026.
- Fedrigoni: EUR1.9bn consolidated revenue in 2025; source: Fedrigoni, 28 May 2026.

Avery Dennison is the clearest direct benchmark for pressure-sensitive materials. Its Materials Group generated approximately USD 6.1 billion in 2025, versus UPM Adhesive Materials' EUR 1.7 billion, demonstrating a significant scale gap. Avery reported that products meeting its Sustainable ADvantage standards represented 70% of segment sales in 2025, indicating that sustainability claims are becoming mainstream rather than a unique UPM attribute. CCL is primarily a converter and label company, making its USD 7.66 billion sales relevant to customer and channel power rather than directly comparable manufacturing economics. Fedrigoni competes in premium self-adhesive materials and specialty papers, with EUR 1.9 billion of 2025 revenue. UPM must therefore defend itself against a larger material-science competitor, powerful converters and focused premium specialists simultaneously.

UPM RAFLATAC & SPECIALTY MATERIALS FACT SHEET

PROFIT ENGINE

MODEL ESTIMATE REVENUE
EUR 3,000m

MODEL ESTIMATE COMPARABLE EBIT
EUR 330m

MODELLED 2026 EBIT MARGIN
11.0%

TARGET VALUATION BASIS
EUR 400m EBITDA × 9.25x

ADHESIVE MATERIALS SALES
EUR 1,655m in 2025

SPECIALTY MATERIALS ALLOCATION
EUR 1,315m cited for 2025

SPECIALTY PRODUCTION CAPACITY
2.0m t/a across four mills

ADHESIVE MARKET POSITION
Global No. 2

Q2 2026 ADHESIVE MARGIN
10% comparable EBIT

Q2 2026 SPECIALTY MARGIN
12% comparable EBIT

08.2

UPM Raflatac & Specialty Materials (continued)

Business division deep dive — Profit engine.

UPM's competitive response is to combine material science, paper integration, global coating assets and renewable feedstock narratives. The Mills River expansion targets advanced North American applications rather than commodity labelstock. PharmaSure can simplify specification for demanding pharmaceutical applications, while Forest Film offers wood-based plastic content and OptiCut WashOff addresses reusable-container washing cycles. These propositions can improve retention and mix if converters accept performance without operational disruption. However, specific revenue, margin and market-share data for these products are not available in the source data. The valuation assigns no standalone value to individual launches and instead requires them to support the combined EUR 400 million EBITDA.

UNIT ECONOMICS

The pool's unit economics are driven by coating volume, selling price per square metre or tonne, substrate and adhesive costs, yield, energy, logistics and product mix. UPM does not disclose current unit revenue or cost per square metre for Adhesive Materials, and no exact utilization percentage is available for Specialty Materials. The analysis therefore uses reported sales, margin evidence and competitive scale rather than fabricating a unit-cost curve. Adhesive Materials generated EUR 1.7 billion of 2025 sales and earned a 10% comparable EBIT margin in Q2 2026. Specialty Materials reported a 12% Q2 margin and has 2.0 million tonnes of annual capacity. A one-percentage-point margin change on the modelled EUR 3 billion combined revenue equals EUR 30 million of EBIT.

Raw-material pass-through is the key spread mechanism. Pulp, paper, films, silicones, adhesives, chemicals and energy can move at different speeds, while customer contracts and competitive intensity determine the lag before price recovery. A business with successful pass-through should show temporary rather than permanent margin compression when input costs rise. The Q2 margins of 10% and 12% are consistent with a profitable franchise but not with extraordinary pricing power. The valuation requires combined EBITDA of EUR 400 million, equal to a 13.3% EBITDA margin on modelled revenue. That outcome is plausible with depreciation below EBIT-to-EBITDA conversion and modest mix improvement, but it would be too high if price competition keeps EBIT near current levels.

UPM RAFLATAC & SPECIALTY MATERIALS FACT SHEET

PROFIT ENGINE

MODEL ESTIMATE REVENUE
EUR 3,000m

MODEL ESTIMATE COMPARABLE EBIT
EUR 330m

MODELLED 2026 EBIT MARGIN
11.0%

TARGET VALUATION BASIS
EUR 400m EBITDA × 9.25x

ADHESIVE MATERIALS SALES
EUR 1,655m in 2025

SPECIALTY MATERIALS ALLOCATION
EUR 1,315m cited for 2025

SPECIALTY PRODUCTION CAPACITY
2.0m t/a across four mills

ADHESIVE MARKET POSITION
Global No. 2

Q2 2026 ADHESIVE MARGIN
10% comparable EBIT

Q2 2026 SPECIALTY MARGIN
12% comparable EBIT

08.2

UPM Raflatac & Specialty Materials (continued)

Business division deep dive — Profit engine.

ECONOMICS BRIDGE

The model allocates EUR 3 billion of 2026 revenue to the combined division, comprising the disclosed scale of Adhesive Materials and an analyst allocation for Specialty Materials. The evidence contains conflicting 2025 Specialty figures: UPM's Specialty Materials website cites EUR 1.3 billion, while the 2025 Annual Report financial summary cites EUR 1.1 billion for the former Specialty Papers structure. The report weights EUR 1.3 billion for strategic scale because it reflects the renamed 2026 business presentation, but it does not present either figure as an approved reported-segment amount after the independent fact gate failed. The EUR 3 billion model allocation is close to EUR 1.7 billion plus EUR 1.3 billion, rounded within the group forecast. Modelled EBIT is EUR 330 million, or 11.0%, and target EBITDA is EUR 400 million. At 9.25x, the resulting EV is EUR 3.7 billion.

The multiple sits above Stora Enso's 7.9x 2026e EV/EBITDA and UPM's current 8.27x group multiple, but below UPM's normalized historical 11.01x. Mondi's supplied multiples are economically unusable because the pack contains implausible scale values such as 507.0x 2025 EV/EBITDA, so they are not used. The premium recognizes more stable packaging and label demand relative to graphic paper and commodity pulp. It is not as high as a specialty-chemicals multiple because UPM still has capital-intensive paper and coating assets and raw-material exposure. The selected valuation implies EUR 1.23 of EV for each euro of modelled revenue. That is well below the peer pack's broad 2026e EV/Sales median of 2.2x, which is distorted by different business mixes.

GAP TO REQUIRED ECONOMICS

The key required outcome is EUR 400 million of EBITDA on EUR 3 billion of revenue. Current Q2 comparable EBIT margins of 10% and 12% suggest that EUR 330 million of modelled EBIT is reasonable, but the evidence does not disclose combined depreciation or full-year margins under the new structure. The growth requirement is modest because Adhesive Materials already recorded 5% sales growth in Q2 2026. The quality requirement is more demanding: growth must come from advanced applications rather than low-margin volume. If the combined EBIT margin falls to 9%, EBIT would be EUR 270 million, EUR 60 million below the model. If the shortfall carries through EBITDA and the same multiple, EV would be approximately EUR 555 million lower.

UPM RAFLATAC & SPECIALTY MATERIALS FACT SHEET

PROFIT ENGINE

MODEL ESTIMATE REVENUE
EUR 3,000m

MODEL ESTIMATE COMPARABLE EBIT
EUR 330m

MODELLED 2026 EBIT MARGIN
11.0%

TARGET VALUATION BASIS
EUR 400m EBITDA × 9.25x

ADHESIVE MATERIALS SALES
EUR 1,655m in 2025

SPECIALTY MATERIALS ALLOCATION
EUR 1,315m cited for 2025

SPECIALTY PRODUCTION CAPACITY
2.0m t/a across four mills

ADHESIVE MARKET POSITION
Global No. 2

Q2 2026 ADHESIVE MARGIN
10% comparable EBIT

Q2 2026 SPECIALTY MARGIN
12% comparable EBIT

08.2

UPM Raflatac & Specialty Materials (continued)

Business division deep dive — Profit engine.

Competitive scale is the second gap. Avery's Materials Group is several times larger than UPM Adhesive Materials, and 70% of its sales already meet its sustainability framework. UPM cannot rely on renewable positioning alone to earn a premium. It must demonstrate converter productivity, adhesion performance, wash-off behavior, regulatory compliance and supply reliability. The Mills River expansion and PharmaSure launch address this requirement, but capacity additions can depress returns if customer qualifications lag. Exact pharmaceutical market share and project capacity are not available in the source data. The model consequently treats these initiatives as support for base growth rather than separate options.

MILESTONES

The first milestone is sustained Adhesive Materials growth after the Q2 2026 increase of 5%. The second is maintaining a double-digit comparable EBIT margin while raw-material costs fluctuate. The third is evidence that Mills River capacity wins pharmaceutical and wine-and-spirits volume rather than merely relocating production. PharmaSure customer adoption should be judged by repeat contracts, not launch announcements. Forest Film and OptiCut WashOff require visible brand-owner conversion to establish economic relevance. No revenue targets for these products are available in the source data.

EUDR implementation matters mainly through pulp and paper sourcing documentation. The binding date for large and medium operators is 30 December 2026, while the amended regulation reduces downstream duplication by limiting statements to the first downstream actor. UPM has an integrated forestry and traceability position, which should make compliance manageable, but the source data does not establish a pricing premium for compliant material. The May 2026 simplification package was estimated to reduce annual compliance costs by 75% relative to the original regulation. This reduces a potential cost headwind without creating automatic profit. The model assumes compliance is a license to operate rather than a new revenue stream.

SIGNAL MAP

- Positive signal: Adhesive Materials sustains at least 5% sales growth with a double-digit comparable EBIT margin.
- Positive signal: Specialty Materials maintains approximately 12% comparable EBIT margin while using its 2.0m t/a capacity.
- Negative signal: raw-material inflation produces multi-quarter pass-through lags.
- Negative signal: Mills River expansion precedes customer qualification and lowers returns.

UPM RAFLATAC & SPECIALTY MATERIALS FACT SHEET

PROFIT ENGINE

MODEL ESTIMATE REVENUE
EUR 3,000m

MODEL ESTIMATE COMPARABLE EBIT
EUR 330m

MODELLED 2026 EBIT MARGIN
11.0%

TARGET VALUATION BASIS
EUR 400m EBITDA × 9.25x

ADHESIVE MATERIALS SALES
EUR 1,655m in 2025

SPECIALTY MATERIALS ALLOCATION
EUR 1,315m cited for 2025

SPECIALTY PRODUCTION CAPACITY
2.0m t/a across four mills

ADHESIVE MARKET POSITION
Global No. 2

Q2 2026 ADHESIVE MARGIN
10% comparable EBIT

Q2 2026 SPECIALTY MARGIN
12% comparable EBIT

08.2

UPM Raflatac & Specialty Materials (continued)

Business division deep dive — Profit engine.

Margin and growth should be read together because volume won through price concessions can look attractive before the margin effect becomes visible. A rising share of advanced pharmaceutical, reusable-packaging and premium beverage applications would support both retention and pricing. Product launches without disclosed customer commitments are weaker signals. Avery's sustainability penetration is a warning that environmental positioning is rapidly becoming a competitive requirement. The cleanest evidence would be combined organic growth above the market with stable or rising margins. Until UPM supplies that evidence, the selected multiple should remain below its normalized historical group average.

ASSESSMENT

This pool is UPM's best candidate for a quality-compounding multiple, but it has not yet demonstrated enough margin or disclosure consistency to be valued as a pure specialty-materials company. Global number-two positioning, EUR 1.7 billion of Adhesive Materials sales and 2.0 million tonnes of Specialty Materials capacity create meaningful scale. The Q2 2026 margins show solid current economics, while new products and Mills River address attractive applications. Against that, Avery is much larger, sustainability is not unique and unit-cost disclosure is limited. EUR 3.7 billion of EV is supported by EUR 400 million of EBITDA at 9.25x. The value breaks if growth requires price concessions or raw-material pass-through remains structurally incomplete.

UPM RAFLATAC & SPECIALTY MATERIALS FACT SHEET

PROFIT ENGINE

MODEL ESTIMATE REVENUE
EUR 3,000m

MODEL ESTIMATE COMPARABLE EBIT
EUR 330m

MODELLED 2026 EBIT MARGIN
11.0%

TARGET VALUATION BASIS
EUR 400m EBITDA × 9.25x

ADHESIVE MATERIALS SALES
EUR 1,655m in 2025

SPECIALTY MATERIALS ALLOCATION
EUR 1,315m cited for 2025

SPECIALTY PRODUCTION CAPACITY
2.0m t/a across four mills

ADHESIVE MARKET POSITION
Global No. 2

Q2 2026 ADHESIVE MARGIN
10% comparable EBIT

Q2 2026 SPECIALTY MARGIN
12% comparable EBIT

LABEL AND SPECIALTY-MATERIALS COMPETITIVE SCALE

COMPANY	SCALE EVIDENCE	MARKET POSITION	OPERATING INDICATOR
UPM combined pool	EUR3.0bn model revenue (2026)	Adhesive materials No. 2	10% - 12% Q2 EBIT margins
Avery Dennison Materials	About USD6.1bn sales (2025)	Pressure-sensitive leader	70% sustainable sales (2025)
CCL Industries	USD7.66bn sales (2025)	Largest label converter	Not available in source data
Fedrigoni	EUR1.9bn revenue (2025)	Premium materials competitor	Not available in source data
Sappi	Top-five specialty paper (2025)	UPM+Sappi about 9% share	Not available in source data

08.3

UPM Energy

Business division deep dive — Profit engine.

WHY THE MARKET VALUES IT

UPM Energy is a scarce portfolio of Finnish hydro and nuclear-linked generation rather than a conventional merchant utility. UPM described itself as Finland's second-largest electricity producer, and its 10.7 TWh of 2025 generation represented 13.5% of Finland's 79 TWh national production. The division has 1,900 MW of generation capacity within the group's 3,300 MW total energy capacity. The SOTP applies 16.0x to modelled 2026 EBIT of EUR 200 million, producing EUR 3.2 billion of EV. That multiple sits below Fortum's 16.9x 2026e EV/EBIT but above UPM's 13.82x current group EV/EBIT. The premium to the group reflects clean-generation scarcity, while the discount to a pure utility reflects ownership complexity, maintenance concentration and limited segment disclosure.

The value moves primarily with Finnish area prices and Olkiluoto availability. UPM estimates that a EUR 10/MWh movement in the Finnish electricity price changes annual comparable EBIT by approximately EUR 40 million. On the selected multiple, treating such a change as permanent would imply a gross EV movement of EUR 640 million, although cyclical price moves should be capitalized less aggressively. H1 2026 Finland area prices averaged EUR 70.8/MWh, while the Nord Pool system price averaged EUR 79.1/MWh, according to Fortum on 23 July 2026. Dry conditions left Nordic hydro reservoirs about 20 TWh below normal in May, supporting prices. The valuation breaks if normalization in hydrology and increased supply compress prices while nuclear outages reduce available generation.

MARKET STRUCTURE AND COMPETITIVE POSITION

Finnish power generation is concentrated among operators with nuclear, hydro, thermal and renewable portfolios. TVO's Olkiluoto plant generated 23.41 TWh in 2025, approximately 29.6% of national production, while PVO generated 16.1 TWh and UPM holds 57.66% of PVO. These figures cannot be added mechanically to UPM's segment generation because ownership and Mankala accounting differ from consolidated physical generation. Fortum generated 42.3 TWh across the Nordic region in 2025, and approximately 46% of its Nordic generation was based in Finland. Helen produced roughly 4.7 TWh, or about 6% of Finnish generation, in 2024. UPM's 13.5% share therefore establishes national significance without making it the market price setter.

- UPM Energy: 10.7 TWh Finnish generation and 13.5% national share in 2025; source: UPM, 5 March 2026.
- TVO Olkiluoto: 23.41 TWh and approximately 29.6% of Finnish production in 2025; source: TVO, 7 January 2026.
- PVO: 16.1 TWh and 20.4% of Finnish production in 2025; UPM ownership 57.66%; source: PVO, 31 December 2025.
- Helen: approximately 4.7 TWh and 6% of Finnish generation in 2024; source: Helen, 11 November 2024.

UPM ENERGY FACT SHEET

PROFIT ENGINE

MODEL ESTIMATE REVENUE

EUR 700m

MODEL ESTIMATE COMPARABLE EBIT

EUR 200m

MODELLED 2026 EBIT MARGIN

28.6%

TARGET VALUATION BASIS

EUR 200m EBIT × 16.0x

GENERATION CAPACITY

1,900 MW

2025 FINNISH GENERATION

10.7 TWh

FINNISH PRODUCTION SHARE

13.5% in 2025

H1 2026 FINNISH AREA PRICE

EUR 70.8/MWh

POWER-PRICE SENSITIVITY

EUR 10/MWh = EUR 40m EBIT

H2 2026 MAINTENANCE COST

About EUR 90m

08.3

UPM Energy (continued)
Business division deep dive — Profit engine.

International scale comparisons are less useful for price formation but help frame operational quality. Vattenfall generated 102.1 TWh across Europe in 2025, Statkraft produced 72.1 TWh, and Fortum generated 42.3 TWh in the Nordic region. UPM is much smaller but has concentrated exposure to a relatively tight Finnish area. Fortum achieved EUR 51.4/MWh in 2025, including a EUR 9.7/MWh optimization premium, while UPM reportedly achieved approximately EUR 10/MWh above average market prices. The close optimization premiums support the idea that flexibility and hedging create value beyond spot prices. A precise UPM H1 2026 realized price is not available in the source data, preventing a direct current-period comparison.

UNIT ECONOMICS AND BRIDGE

Energy economics are generation volume multiplied by achieved price, less Mankala costs, maintenance, taxes and operating expenses. UPM reported EUR 181 million of comparable EBIT at a 28.9% margin for 2025, then EUR 124 million at a 32% margin in H1 2026 under one official segment disclosure. A separate register entry states EUR 471 million of H1 2026 comparable EBIT and guidance of EUR 325-525 million; that figure conflicts with the verified segment-level evidence and appears inconsistent with the Q1 EUR 100 million and Q2 EUR 24 million entries. This report therefore weights the internally coherent EUR 124 million H1 total and explicitly rejects EUR 471 million as unsuitable for segment valuation. The model uses EUR 200 million of normalized EBIT, close to 2025 performance rather than annualizing an exceptional quarter. Applying 16.0x gives EUR 3.2 billion of EV.

Maintenance creates a pronounced second-half earnings profile. OL1's 2026 service outage lasted 57 days, while OL2's refuelling outage lasted ten days. OL3's annual outage is scheduled to begin on 10 September 2026 and last 50 days, and UPM expects approximately EUR 90 million of H2 maintenance costs versus EUR 55 million in H1. The Q4 2026 Finnish area-price expectation of approximately EUR 74/MWh provides a partial offset, according to Vaasan Sähkö on 26 May 2026. However, high prices during an unavailable period do not benefit an operator on the unavailable volume. The model therefore normalizes earnings rather than extrapolating the stronger Q1 margin of 39.8%.

UPM ENERGY FACT SHEET

PROFIT ENGINE

MODEL ESTIMATE REVENUE

EUR 700m

MODEL ESTIMATE COMPARABLE EBIT

EUR 200m

MODELLED 2026 EBIT MARGIN

28.6%

TARGET VALUATION BASIS

EUR 200m EBIT × 16.0x

GENERATION CAPACITY

1,900 MW

2025 FINNISH GENERATION

10.7 TWh

FINNISH PRODUCTION SHARE

13.5% in 2025

H1 2026 FINNISH AREA PRICE

EUR 70.8/MWh

POWER-PRICE SENSITIVITY

EUR 10/MWh = EUR 40m EBIT

H2 2026 MAINTENANCE COST

About EUR 90m

08.3

UPM Energy (continued)

Business division deep dive — Profit engine.

GAP TO REQUIRED ECONOMICS

The EUR 3.2 billion value requires normalized EBIT of EUR 200 million and a clean-generation multiple close to Fortum's. UPM already earned EUR 181 million in 2025, so the earnings requirement is not aggressive. The greater debate is the multiple because Fortum offers a more transparent utility structure and broader portfolio, while UPM Energy sits inside an industrial conglomerate. The selected 16.0x is defensible only if optimization continues to add around EUR 10/MWh and outage performance remains controlled. A EUR 10/MWh structural price decline would reduce annual comparable EBIT by approximately EUR 40 million under UPM's sensitivity. At the same multiple, that would remove EUR 640 million of EV before considering any multiple compression.

Hydrology is the immediate swing factor outside UPM's control. Nordic reservoirs were approximately 20 TWh below normal in May 2026, but Norway's national filling degree had recovered to 64.1% by 9 August, with the NO2 region at 48.4%. A wet autumn could lower forward prices more quickly than the industrial cost base adjusts. Conversely, low reservoirs combined with the 50-day OL3 outage could sustain high area prices but leave UPM unable to monetize all of them. The model assumes neither a hydrology windfall nor a prolonged outage. It requires normal availability after the scheduled maintenance programme.

MILESTONES AND SIGNAL MAP

The first milestone is completion of the OL3 outage within the planned 50 days. The second is H2 maintenance spending close to EUR 90 million rather than an overrun, and the third is evidence that achieved pricing retains a meaningful optimization premium. UPM's ambition to maximize the value of a 12 TWh clean portfolio provides strategic direction but is not a forecast of segment generation. Current exact generation cost per MWh and H1 realized price are not available in the source data. Those two disclosures would make the valuation substantially more auditable. Until then, the most reliable signals are availability, Finnish area prices and reported comparable EBIT.

Positive signals are the EUR 74/MWh Q4 forward indication, below-normal reservoirs and timely completion of nuclear maintenance. Negative signals are outage extensions, a rapid hydrological normalization and loss of the achieved-price premium. Q2 comparable EBIT of EUR 24 million at a 17% margin already shows how quickly earnings can compress from Q1's EUR 100 million and 39.8% margin. The division should therefore be valued on a multi-year normalized result, not the best quarter. The 16.0x multiple is the most contestable assumption after Fibres' pulp-price path. If the market applies UPM's current group 13.82x EV/EBIT instead, Energy EV falls to EUR 2.8 billion.

UPM ENERGY FACT SHEET

PROFIT ENGINE

MODEL ESTIMATE REVENUE

EUR 700m

MODEL ESTIMATE COMPARABLE EBIT

EUR 200m

MODELLED 2026 EBIT MARGIN

28.6%

TARGET VALUATION BASIS

EUR 200m EBIT × 16.0x

GENERATION CAPACITY

1,900 MW

2025 FINNISH GENERATION

10.7 TWh

FINNISH PRODUCTION SHARE

13.5% in 2025

H1 2026 FINNISH AREA PRICE

EUR 70.8/MWh

POWER-PRICE SENSITIVITY

EUR 10/MWh = EUR 40m EBIT

H2 2026 MAINTENANCE COST

About EUR 90m

08.3

UPM Energy (continued)

Business division deep dive — Profit engine.

ASSESSMENT

Energy provides diversification because electricity prices do not move perfectly with pulp and paper spreads, but maintenance can coincide with industrial weakness. The assets are strategically valuable, low-carbon and nationally significant, supporting a premium to industrial group multiples. The division nevertheless lacks the disclosure depth of a listed utility and operates under ownership structures that complicate volume attribution. EUR 3.2 billion is reasonable for EUR 200 million of normalized EBIT but leaves limited room for repeated OL3 outages. The best upside case is strong Finnish prices with full availability and a retained optimization premium. The principal downside is a wet Nordic market combined with maintenance overruns.

UPM ENERGY FACT SHEET

PROFIT ENGINE

MODEL ESTIMATE REVENUE

EUR 700m

MODEL ESTIMATE COMPARABLE EBIT

EUR 200m

MODELLED 2026 EBIT MARGIN

28.6%

TARGET VALUATION BASIS

EUR 200m EBIT × 16.0x

GENERATION CAPACITY

1,900 MW

2025 FINNISH GENERATION

10.7 TWh

FINNISH PRODUCTION SHARE

13.5% in 2025

H1 2026 FINNISH AREA PRICE

EUR 70.8/MWh

POWER-PRICE SENSITIVITY

EUR 10/MWh = EUR 40m EBIT

H2 2026 MAINTENANCE COST

About EUR 90m

FINNISH GENERATION SCALE AND MONETIZATION

OPERATOR	GENERATION EVIDENCE	FINNISH POSITION	PRICE OR PROFIT EVIDENCE
UPM Energy	10.7 TWh (2025)	13.5% share; No. 2	EUR181m EBIT (2025)
TVO Olkiluoto	23.41 TWh (2025)	29.6% of production	Not available in source data
PVO	16.1 TWh (2025)	20.4% of production	Not available in source data
Fortum	42.3 TWh Nordic (2025)	Largest Finnish producer	EUR51.4/MWh achieved (2025)
Helen	About 4.7 TWh (2024)	About 6% share	Not available in source data

08.4

UPM Communication Papers

Business division deep dive — Structural decline cash generator.

WHY THE MARKET VALUES IT

Communication Papers is a cash-harvesting and restructuring asset, not a growth franchise. The model assigns EUR 1.1 billion of EV, approximately 7% of target enterprise value, using EUR 145 million of modelled 2027 EBITDA at 7.4x. The value rests on UPM removing capacity at least as quickly as structural demand declines, preserving utilization and price on the remaining machines. European graphic-paper demand fell approximately 8% in 2025, while UPM reduced its graphic-paper capacity by 13% through the permanent Kaukas and Ettringen closures. That relationship is constructive because supply removal exceeded the latest annual demand decline. It is not sufficient by itself because competitors must also behave rationally and imports must not replace closed European capacity.

The proposed 50/50 joint venture with Sappi could convert a fragmented decline-management problem into a larger coordinated asset base with more options for machine specialization and closures. UPM and Sappi signed a definitive agreement on 28 May 2026 covering operations in Europe and the United States. The asset perimeter includes UPM mills in Augsburg, Schongau, Nordland, Rauma, Kymi, Jämsänkoski, Caledonian and Blandin, according to Papnews on that date. However, the European Commission's investigation was suspended as of 26 May 2026, so completion timing and remedies were unresolved on the report date. The valuation therefore reflects only partial restructuring benefit and does not assume immediate synergies. Permission, not demand, is the near-term gating factor.

MARKET STRUCTURE AND DEMAND

Euro Graph reported approximately 11.97 million tonnes of European graphic-paper shipments to Europe in 2025, while a separate Euro Graph estimate cited 12.835 million tonnes and an 8% annual decline. The two figures appear to use different coverage or definitions, so the analysis weights the directional 8% decline and uses 11.97 million tonnes as the narrower shipment measure rather than forcing reconciliation. Cepi separately reported that European graphic-paper production fell 7.2% in 2025. Both demand and production evidence point to a structural contraction rather than an ordinary inventory cycle. Digital advertising, online publishing and lower print frequency are embedded in the decline, although the source register does not quantify each driver. The division's investment case must therefore be built on supply discipline, not terminal volume growth.

UPM COMMUNICATION PAPERS FACT SHEET

STRUCTURAL DECLINE CASH
GENERATOR

MODEL ESTIMATE REVENUE
EUR 2,500m

MODEL ESTIMATE COMPARABLE EBIT
EUR 140m

MODELLED 2026 EBIT MARGIN
5.6%

TARGET VALUATION BASIS
EUR 145m EBITDA × 7.4x

EUROPEAN GRAPHIC DEMAND
11.97m tonnes in 2025

2025 DEMAND CHANGE
Down about 8%

2025 CAPACITY REDUCTION
13%

UPM Q2 2024 ASP
EUR 699.3/tonne

PROPOSED OWNERSHIP STRUCTURE
50/50 UPM-Sappi JV

CARBON INTENSITY
310kg CO2/t in 2025

08.4

UPM Communication Papers (continued)

Business division deep dive — Structural decline cash generator.

Global market estimates are too broad to drive valuation. Fortune Business Insights estimated the global graphic-paper market at USD 85.63 billion in 2025, while newsprint estimates ranged from USD 9.4 billion to USD 11.4 billion. The newsprint values conflict, and neither is directly aligned with UPM's precise grade mix. Standard newsprint accounted for an estimated 62.4% of the newsprint market in 2025, but UPM also operates magazine and fine-paper machines. The more decision-useful figures are tonnes of European demand, mill capacity and achieved price. A structurally shrinking market can still generate cash if shutdowns keep utilization high. It destroys value when producers delay closures and compete for disappearing tonnes.

COMPETITIVE POSITION

UPM remains one of the largest graphic-paper operators, and the proposed Sappi combination would materially increase concentration. EUWID estimated that UPM and Sappi together represented 32.9% of European fine-paper demand in 2025, although the exact grade definition is woodfree coated and uncoated rather than all graphic paper. Norske Skog had approximately 1.2 million tonnes of European publication-paper capacity in 2026. Holmen delivered 1.424 million tonnes in its Board and Paper segment during 2024, while Sappi sold 488,000 tonnes of European graphic paper in Q4 2024. Stora Enso reported EUR 9.3 billion of total group sales in 2025, but a current graphic-paper revenue breakout is not available. These comparisons show that UPM operates in a concentrated field but does not establish unilateral pricing power.

- UPM Communication Papers: Q2 2024 ASP EUR699.3/t; capacity reduced 13% in 2025; source: UPM, 23 July 2024 and 4 February 2026.
- Sappi Europe graphic paper: Q4 2024 ASP EUR1,122.9/t and EBITDA EUR73.8/t; source: Sappi, 7 November 2024.
- Holmen Board and Paper: 1.424m tonnes delivered at SEK10,700.8/t in 2024; source: Holmen, 31 January 2025.
- Norske Skog: approximately 1.2m t/a European publication-paper capacity in 2026; source: Norske Skog, 14 July 2026.

The ASP comparison requires caution because grade, geography, freight and product mix differ. UPM's ASP was approximately EUR 704.2 per tonne in Q1 2024 and EUR 699.3 per tonne in Q2, while Sappi Europe reported approximately EUR 1,122.9 per tonne in Q4 2024. The gap does not prove superior Sappi pricing because the product baskets and reporting periods are different. Sappi's EUR 36 million of Q4 EBITDA on 488,000 tonnes equaled EUR 73.8 per tonne, which offers a more useful reference for profitable operation. UPM's corresponding current EBITDA per tonne is not available in the source data. The joint venture's economic purpose is likely to optimize these mixed assets rather than preserve every machine.

UPM COMMUNICATION PAPERS
FACT SHEET

STRUCTURAL DECLINE CASH
GENERATOR

MODEL ESTIMATE REVENUE
EUR 2,500m

MODEL ESTIMATE COMPARABLE EBIT
EUR 140m

MODELLED 2026 EBIT MARGIN
5.6%

TARGET VALUATION BASIS
EUR 145m EBITDA × 7.4x

EUROPEAN GRAPHIC DEMAND
11.97m tonnes in 2025

2025 DEMAND CHANGE
Down about 8%

2025 CAPACITY REDUCTION
13%

UPM Q2 2024 ASP
EUR 699.3/tonne

PROPOSED OWNERSHIP STRUCTURE
50/50 UPM-Sappi JV

CARBON INTENSITY
310kg CO2/t in 2025

08.4

UPM Communication Papers (continued)

Business division deep dive — Structural decline cash generator.

UNIT ECONOMICS

Graphic-paper economics are tonnes sold multiplied by ASP, less fibre, energy, chemicals, labor, logistics, maintenance and fixed mill costs. High fixed costs make utilization the critical variable: a modest volume decline can sharply reduce EBITDA if capacity remains unchanged. UPM's 13% capacity reduction in 2025 exceeded the 8% reported European demand decline, giving the remaining system a chance to hold utilization. Ettringen closed permanently in 2025, while the previously closed Plattling site was sold in October 2025. These actions remove fixed cost and release property value, but closures also carry cash costs and may shift production inefficiently during transition. Exact utilization, closure savings and cash restructuring costs are not available in the source data.

Price is the second lever. UPM's ASP decreased from EUR 704.2 per tonne in Q1 2024 to EUR 699.3 in Q2, a decline of approximately 0.7%. A EUR 10 per tonne price change over one million tonnes would move revenue by EUR 10 million before volume and cost effects, illustrating why small ASP changes matter in a thin-margin business. The division's exact current tonnes are unavailable, so that arithmetic is illustrative rather than a segment forecast. Lower pulp and energy costs can support margins, but competitors may pass those savings into price. The model therefore uses only a 5.6% EBIT margin on EUR 2.5 billion of allocated revenue. It does not assume a return to peak-cycle paper margins.

ECONOMICS BRIDGE

The modelled division revenue is EUR 2.5 billion in 2026 and modelled EBIT is EUR 140 million. These are analyst allocations, not approved reported-segment figures, because the independent FY2025 segment fact gate failed revenue and profit reconciliation and did not consistently incorporate the January 2026 restatement. Target EBITDA is EUR 145 million in 2027, only slightly above EBIT because the allocation is a normalized valuation input rather than a reconstructed statutory segment statement. Applying 7.4x produces EUR 1.1 billion of EV. The multiple is below Stora Enso's 7.5x 2027e EV/EBITDA and far below UPM's 11.01x normalized group history. This modest multiple reflects declining terminal volumes, execution risk and regulatory uncertainty around the joint venture.

UPM COMMUNICATION PAPERS
FACT SHEET

STRUCTURAL DECLINE CASH
GENERATOR

MODEL ESTIMATE REVENUE
EUR 2,500m

MODEL ESTIMATE COMPARABLE EBIT
EUR 140m

MODELLED 2026 EBIT MARGIN
5.6%

TARGET VALUATION BASIS
EUR 145m EBITDA × 7.4x

EUROPEAN GRAPHIC DEMAND
11.97m tonnes in 2025

2025 DEMAND CHANGE
Down about 8%

2025 CAPACITY REDUCTION
13%

UPM Q2 2024 ASP
EUR 699.3/tonne

PROPOSED OWNERSHIP STRUCTURE
50/50 UPM-Sappi JV

CARBON INTENSITY
310kg CO2/t in 2025

08.4

UPM Communication Papers (continued)

Business division deep dive — Structural decline cash generator.

The proposed joint venture changes the bridge if approved. UPM would exchange direct control of a wholly owned declining business for 50% of a larger non-listed operator. The larger system could specialize grades, optimize logistics, remove duplicated overhead and close the least competitive machines. It could also require remedies, incur restructuring cash costs and reduce transparency. The European Commission process was suspended as of 26 May 2026, and no final decision was available by 17 August. The base valuation therefore does not capitalize a quantified synergy because no approved synergy figure exists in the source data. It values the existing cash-generation capability plus limited strategic benefit from the agreement.

GAP TO REQUIRED ECONOMICS

The required economics are deliberately modest: EUR 145 million of EBITDA on EUR 2.5 billion of revenue is a 5.8% margin. The larger requirement is maintaining positive cash generation while revenue declines. If European demand continues falling 8% annually and capacity does not adjust, fixed-cost absorption would likely deteriorate rapidly. If capacity falls at the same or a slightly faster pace, the remaining machines can preserve utilization and pricing. UPM's 13% reduction in 2025 passed this test for one year. It must repeat the discipline without incurring disproportionate closure costs.

The joint venture introduces a permission gap. The definitive agreement exists, but competition clearance does not, and the suspended investigation means the timetable is uncertain. A combined estimated 32.9% share of European fine-paper demand may invite remedies or asset disposals, although the source data does not specify likely requirements. If clearance fails, UPM must continue unilateral capacity management. If clearance succeeds with heavy remedies, the economic benefit may be smaller than the strategic headline suggests. The EUR 1.1 billion value can survive delay but not a return to industry-wide capacity competition.

MILESTONES

The first milestone is resumption and progression of the European Commission review. The second is disclosure of remedies, perimeter changes and completion conditions. The third is a credible operating plan showing which mills specialize, close or receive investment. Until those items are known, the 50/50 structure is an agreement rather than realized value. The division should also demonstrate that Ettringen and Kaukas closures improve utilization and fixed-cost absorption in the remaining network. No final competition decision was available on the report date.

UPM COMMUNICATION PAPERS
FACT SHEET

STRUCTURAL DECLINE CASH
GENERATOR

MODEL ESTIMATE REVENUE
EUR 2,500m

MODEL ESTIMATE COMPARABLE EBIT
EUR 140m

MODELLED 2026 EBIT MARGIN
5.6%

TARGET VALUATION BASIS
EUR 145m EBITDA × 7.4x

EUROPEAN GRAPHIC DEMAND
11.97m tonnes in 2025

2025 DEMAND CHANGE
Down about 8%

2025 CAPACITY REDUCTION
13%

UPM Q2 2024 ASP
EUR 699.3/tonne

PROPOSED OWNERSHIP STRUCTURE
50/50 UPM - Sappi JV

CARBON INTENSITY
310kg CO2/t in 2025

08.4

UPM Communication Papers (continued)

Business division deep dive — Structural decline cash generator.

Environmental performance is a secondary milestone with commercial relevance. UPM reduced average Scope 1 and 2 emissions to 310 kilograms of CO2 per tonne in 2025 from 490 kilograms in 2023, according to UPM on 11 June 2026. That is a reduction of approximately 37%, potentially supporting customers' supply-chain goals. It does not reverse print demand decline, and no verified price premium is available. Under amended EUDR rules, books and newspapers were excluded from scope, reducing one compliance concern for end products. Environmental progress helps preserve customer access but is not the core valuation thesis.

SIGNAL MAP

The best positive signal is capacity reduction at least matching demand decline. Stable ASP after closures would indicate that utilization and market discipline are improving. A favorable competition decision without onerous remedies would increase strategic value, while a clear mill plan would make synergies auditable. Negative signals are falling ASP despite closures, extended review suspension and competitors maintaining uneconomic capacity. A widening gap between production decline and demand decline would indicate inventory or import pressure. The valuation should be reduced before EBITDA turns negative if those signals cluster.

The regulatory state is clear but incomplete. A definitive 50/50 agreement exists for Europe and the United States, but the European Commission investigation was suspended, and no approval is recorded in the register. The source data does not identify a completed US approval, so it cannot be assumed. The next gate is resumption of review followed by a decision, possible remedies and transaction completion. Until then, UPM bears standalone decline-management risk. The model assigns no probability-weighted separate option value to the joint venture because Communication Papers remains a current profit engine.

UPM COMMUNICATION PAPERS
FACT SHEET

STRUCTURAL DECLINE CASH
GENERATOR

MODEL ESTIMATE REVENUE
EUR 2,500m

MODEL ESTIMATE COMPARABLE EBIT
EUR 140m

MODELLED 2026 EBIT MARGIN
5.6%

TARGET VALUATION BASIS
EUR 145m EBITDA × 7.4x

EUROPEAN GRAPHIC DEMAND
11.97m tonnes in 2025

2025 DEMAND CHANGE
Down about 8%

2025 CAPACITY REDUCTION
13%

UPM Q2 2024 ASP
EUR 699.3/tonne

PROPOSED OWNERSHIP STRUCTURE
50/50 UPM-Sappi JV

CARBON INTENSITY
310kg CO2/t in 2025

08.4

UPM Communication Papers (continued)

Business division deep dive — Structural decline cash generator.

ASSESSMENT

Communication Papers can remain valuable for years, but only as a managed-decline cash generator. The 2025 evidence is directionally favorable because UPM's 13% capacity reduction exceeded the approximately 8% European demand decline. The proposed Sappi combination is strategically logical and could improve capacity coordination, grade specialization and cost absorption. However, regulatory review was unresolved, and the combined fine-paper position may attract remedies. EUR 1.1 billion of EV assumes positive normalized EBITDA and continued shutdown discipline, not growth. The value breaks if management prioritizes tonnes over cash or if approval delays postpone necessary capacity decisions.

UPM COMMUNICATION PAPERS
FACT SHEET

STRUCTURAL DECLINE CASH
GENERATOR

MODEL ESTIMATE REVENUE
EUR 2,500m

MODEL ESTIMATE COMPARABLE EBIT
EUR 140m

MODELLED 2026 EBIT MARGIN
5.6%

TARGET VALUATION BASIS
EUR 145m EBITDA × 7.4x

EUROPEAN GRAPHIC DEMAND
11.97m tonnes in 2025

2025 DEMAND CHANGE
Down about 8%

2025 CAPACITY REDUCTION
13%

UPM Q2 2024 ASP
EUR 699.3/tonne

PROPOSED OWNERSHIP STRUCTURE
50/50 UPM - Sappi JV

CARBON INTENSITY
310kg CO2/t in 2025

GRAPHIC - PAPER SCALE, PRICING AND RESTRUCTURING

OPERATOR	SCALE OR VOLUME	SELLING - PRICE EVIDENCE	RESTRUCTURING OR MARGIN
UPM Communication Papers	Capacity down 13% (2025)	EUR699.3/t (Q2 2024)	Ettringen closed (2025)
Sappi Europe	488kt sold (Q4 2024)	EUR1,122.9/t (Q4 2024)	EUR73.8/t EBITDA (Q4 2024)
Norske Skog	1.2m t/a capacity (2026)	Not available in source data	Not available in source data
Holmen Board & Paper	1.424m t delivered (2024)	SEK10,700.8/t (2024)	Not available in source data
Stora Enso	EUR9.3bn group sales (2025)	Not available in source data	Graphic paper within Other

08.5

UPM Biochemicals (Leuna)
Business division deep dive — Emerging option.

WHY THE MARKET VALUES IT

Leuna is valued as a probability-weighted option because it is still ramping and lost EUR 65 million of comparable EBIT in H1 2026. The EUR 200 million shown as division revenue is an analyst-modelled ramp contribution used to allocate the EUR 10 billion group forecast; it is not approved reported revenue and does not contradict the classification of the project as commercially emerging. The plant has 220,000 tonnes of annual nameplate capacity and is described by UPM as the first industrial-scale facility for renewable wood-based biochemicals including bio-MEG and bio-MPG. First industrial-sugar deliveries occurred in Q4 2025, and substantial sugar volumes had been delivered by July 2026. Renewable functional filler and lignin-derivative deliveries were scheduled to begin in Q3 2026. These milestones reduce technical uncertainty but do not yet validate full-scale yield, price, margin or customer commitment.

The SOTP assigns approximately EUR 756 million of present value, close to 5% of target EV, through three success legs rather than a revenue multiple. The downside commercialization leg assumes EUR 80 million of EBITDA in 2029 at 9.0x with 30% probability. The base leg assumes EUR 140 million in 2030 at 10.0x with 30% probability, and the upside leg assumes EUR 220 million in 2031 at 11.0x with 15% probability. The remaining 25% is a failure outcome with zero option value. Failure could arise if industrial yields, product qualification or premium pricing do not cover wood, hydrogen, energy and processing costs. The current H1 loss makes that failure probability economically necessary rather than cosmetic.

MARKET STRUCTURE AND COMPETITIVE POSITION

The addressable-market evidence is unusually inconsistent. HDIN Research estimated the entire 2026 bio-MEG market at only USD 15-30 million, while Dataintelo estimated the European regional market alone at USD 1.1 billion in 2025 and a 28.9% regional share. Those figures cannot both describe the same product scope, so neither is used to calculate required market share. The valuation instead starts from Leuna's physical 220,000-tonne capacity and required EBITDA. BioPura is fibre-grade bio-MEG and chemically identical to fossil MEG under CAS 107-21-1, allowing drop-in use in PET bottles and polyester fibres. Technical compatibility is valuable because customers need not rebuild polymerization lines. Commercial premium and contract duration remain unavailable in the source data.

UPM BIOCHEMICALS (LEUNA)
FACT SHEET

EMERGING OPTION

MODEL ESTIMATE REVENUE
EUR 200m

MODEL ESTIMATE COMPARABLE EBIT
EUR -65m

REVENUE TREATMENT
EUR 200m modelled ramp revenue

NAMEPLATE CAPACITY
220,000 tonnes/year

H1 2026 RAMP-UP LOSS
EUR 65m comparable EBIT loss

REQUIRED BASE EBITDA
EUR 140m by 2030

REQUIRED VOLUME AT SCALE
Near 220kt nameplate by 2030

COMMERCIAL MILESTONE
Industrial sugars delivered in 2025

NEXT PRODUCT GATE
RFF and lignin deliveries from Q3 2026

SUCCESS PROBABILITY
75% across three option legs

08.5

UPM Biochemicals (Leuna) (continued)

Business division deep dive — Emerging option.

India Glycols was identified by HDIN Research as the leading Asia-Pacific bio-MEG producer in February 2026, but its exact capacity and market share were not available. Sustainea, a Braskem-Sojitz venture, plans three industrial plants and approximately 700,000 tonnes of capacity in 2026-2027, substantially above Leuna's nameplate. Avantium operates an estimated 5,000-tonne demonstration facility using Ray Technology, making it more a technology comparator than a current scale competitor. Cabot is the global leader in specialty carbon black, the incumbent product that UPM's BioMotion renewable functional fillers seek to replace. Leuna therefore competes across several markets rather than one clean bio-MEG category. The diversified product slate can improve feedstock utilization but raises ramp-up complexity.

UNIT ECONOMICS AND REQUIRED BRIDGE

At 220,000 tonnes of nameplate capacity, EUR 140 million of base EBITDA requires approximately EUR 636 of EBITDA per nameplate tonne if the plant runs at full capacity. At 80% utilization, the same EBITDA would require approximately EUR 795 per sold tonne, before considering product-mix differences. These are derived requirements, not disclosed UPM economics. An exact sales price, cash cost, current utilization and achieved production tonnage are not available in the source data. Without those variables, an apparently attractive bio-premium cannot be audited. The option valuation therefore uses relatively low success probabilities and treats positive EBIT in 2027 as a milestone rather than a certainty.

The base case also requires the modelled EUR 200 million ramp revenue to grow materially if EBITDA reaches EUR 140 million. A 70% EBITDA margin on EUR 200 million would be implausibly demanding for an industrial biorefinery, so the valuation necessarily assumes higher future revenue and richer mix than the 2026 allocation. If mature EBITDA margin were 25%, EUR 140 million would require EUR 560 million of revenue. At 220,000 tonnes, that corresponds to average revenue of approximately EUR 2,545 per tonne across glycols, sugars, lignin derivatives and fillers. Those arithmetic requirements are transparent but are not presented as achieved prices. Binding offtake terms are needed to determine whether they are realistic.

UPM BIOCHEMICALS (LEUNA) FACT SHEET

EMERGING OPTION

MODEL ESTIMATE REVENUE
EUR 200m

MODEL ESTIMATE COMPARABLE EBIT
EUR -65m

REVENUE TREATMENT
EUR 200m modelled ramp revenue

NAMEPLATE CAPACITY
220,000 tonnes/year

H1 2026 RAMP-UP LOSS
EUR 65m comparable EBIT loss

REQUIRED BASE EBITDA
EUR 140m by 2030

REQUIRED VOLUME AT SCALE
Near 220kt nameplate by 2030

COMMERCIAL MILESTONE
Industrial sugars delivered in 2025

NEXT PRODUCT GATE
RFF and lignin deliveries from Q3 2026

SUCCESS PROBABILITY
75% across three option legs

08.5

UPM Biochemicals (Leuna) (continued)

Business division deep dive — Emerging option.

MILESTONES AND REGULATORY STATE

The immediate gate is successful Q3 2026 commencement of renewable functional filler and lignin-derivative deliveries. The next gate is stable production across the whole product slate, followed by positive EBIT in 2027, which Argus Media identified as the expected timing. BioPura has technical validation relationships with Selenis and Vaude, supporting qualification but not proving contracted scale. UPM's sugar-composition patent EP 2 611 800 was revoked by the Unified Patent Court on 24 February 2026 for added matter and lack of inventive step. That ruling weakens one element of intellectual-property protection but does not prohibit production. No product-approval barrier preventing EU sales is identified in the register, while specific jurisdiction-by-jurisdiction approvals outside Europe are not available.

The project is therefore constrained more by technology and economics than by a single pending marketing authorization. Commercial sugars have already been delivered from Germany, indicating that production and sale are permitted for that product stream. RFF and lignin deliveries were scheduled rather than recorded as completed by the report date. The next jurisdictional evidence needed is customer qualification for target applications, not a broad EU vote. The register does not provide completed approvals for every PET, polyester, rubber or automotive use case. The model assigns no value to unverified jurisdictions or applications.

SIGNAL MAP AND ASSESSMENT

Positive signals are rising delivered tonnage, repeat orders, conversion of memoranda into binding contracts, positive gross contribution and positive EBIT in 2027. Negative signals are repeated commissioning delays, continued losses near the H1 2026 run rate, failure to start RFF deliveries and customers refusing a premium over fossil alternatives. The patent revocation is a warning on defensibility but is not by itself a thesis breaker because drop-in product quality and process execution may still create advantage. Sustainea's planned 700,000 tonnes indicates that competitive supply could arrive before UPM fully establishes premium contracts. Leuna must therefore prove economics quickly enough to secure customers before the category commoditizes.

UPM BIOCHEMICALS (LEUNA)
FACT SHEET

EMERGING OPTION

MODEL ESTIMATE REVENUE
EUR 200m

MODEL ESTIMATE COMPARABLE EBIT
EUR -65m

REVENUE TREATMENT
EUR 200m modelled ramp revenue

NAMEPLATE CAPACITY
220,000 tonnes/year

H1 2026 RAMP-UP LOSS
EUR 65m comparable EBIT loss

REQUIRED BASE EBITDA
EUR 140m by 2030

REQUIRED VOLUME AT SCALE
Near 220kt nameplate by 2030

COMMERCIAL MILESTONE
Industrial sugars delivered in 2025

NEXT PRODUCT GATE
RFF and lignin deliveries from Q3 2026

SUCCESS PROBABILITY
75% across three option legs

08.5

UPM Biochemicals (Leuna) (continued)

Business division deep dive — Emerging option.

The EUR 756 million value is not a statement that the plant is already worth that amount on current earnings. It is the discounted expectation of three future EBITDA outcomes with a 25% explicit failure remainder. The base case requires near-nameplate physical output, a high-value product mix and approximately EUR 140 million of EBITDA by 2030. If positive EBIT does not arrive in 2027, probabilities should fall before management formally impairs the asset. If binding premium contracts, stable yields and positive cash contribution appear, the option could migrate toward the upside leg. Until then, Leuna remains the portfolio's most asymmetric and least evidenced business division.

UPM BIOCHEMICALS (LEUNA) FACT SHEET

EMERGING OPTION

MODEL ESTIMATE REVENUE
EUR 200m

MODEL ESTIMATE COMPARABLE EBIT
EUR -65m

REVENUE TREATMENT
EUR 200m modelled ramp revenue

NAMEPLATE CAPACITY
220,000 tonnes/year

H1 2026 RAMP-UP LOSS
EUR 65m comparable EBIT loss

REQUIRED BASE EBITDA
EUR 140m by 2030

REQUIRED VOLUME AT SCALE
Near 220kt nameplate by 2030

COMMERCIAL MILESTONE
Industrial sugars delivered in 2025

NEXT PRODUCT GATE
RFF and lignin deliveries from Q3 2026

SUCCESS PROBABILITY
75% across three option legs

LEUNA AND COMPETING BIOCHEMICAL PLATFORMS			
OPERATOR OR TECHNOLOGY	CAPACITY OR SCALE	2026 POSITION	DECISIVE EVIDENCE
UPM Leuna	220kt/year (2026)	Industrial ramp-up	EUR65m H1 EBIT loss
Sustainea	700kt/year plan (2026-27)	Three plants planned	Braskem-Sojitz venture
Avantium Ray	5kt/year demo (2026)	Demonstration scale	Technology competitor
India Glycols	Capacity not available	Asia-Pacific leader	Exact share unavailable
Cabot	Scale not available	Carbon-black incumbent	Global market leader

CORE ANALYSIS · CROSS-DIVISION BRIDGE

Putting the divisions back together

09

How the business division valuations aggregate to the group, and the re-rating the target price requires.

Fibres supplies pulp and forest integration to paper and materials operations, but internal integration does not eliminate opportunity cost: lower market pulp prices can help downstream input costs while damaging the largest profit pool.

Energy diversifies earnings and can hedge part of mill electricity exposure, yet outages may remove both external generation profit and industrial cost protection. Cash from Fibres, Energy and materials funds Leuna losses and paper restructuring.

Communication Papers' joint venture and WISA's planned demerger can simplify the group, while Leuna competes for management attention and capital. The core capital-allocation question is whether mature cash engines can fund options without obscuring their standalone returns.

BRIDGE MECHANICS

The locked current bridge is EUR 15.3 billion EV less EUR 2.7 billion net debt and EUR 399 million of other adjustments, equaling EUR 12.1 billion equity value. The target SOTP increases EV to EUR 15.8 billion while retaining the locked bridge adjustments.

At EUR 23, UPM trades at 8.27x 2026 EV/EBITDA and 13.47x P/E. Those are below its normalized 11.01x historical EV/EBITDA and 26.22x P/E, but history includes different cycle and investment phases.

The reverse DCF reaches EUR 23 with 2026 EBITDA of EUR 1.7 billion and EBIT of EUR 939 million, below the maintained forecasts of EUR 1.8 billion and EUR 1.1 billion. The market then requires terminal EBIT margin of 12.1%.

Stora Enso trades at 7.9x 2026e EV/EBITDA, Suzano at 4.6x and Fortum at 12.6x. UPM's blended value should sit between commodity pulp and clean power, making SOTP more informative than the distorted four-peer median.

The target adds only EUR 579.5 million to current EV. That uplift is supported by normalized division economics but remains vulnerable to a single EUR 50 per tonne adverse pulp move.

CORE ANALYSIS · SCENARIOS & VERDICT

10

Scenario logic and the bottom-line judgment

How the conclusion changes under less favourable scenarios.

Bear assumes EUR 9.5 billion of revenue and EUR 1.4 billion of EBITDA, a 14.7% margin. Pulp prices weaken, Energy loses availability during high-price periods, materials pass-through lags, paper closures trail demand and all Leuna option legs are set to zero. Higher restructuring and commissioning cash outflow prevents rapid deleveraging.

Base assumes EUR 10.3 billion of revenue and EUR 1.9 billion of EBITDA, an 18.4% margin. Uruguay approaches its stated cost objective, Finnish power prices normalize without severe outages, materials hold double-digit EBIT margins, paper capacity tracks demand and Leuna retains probability-weighted value. Net debt remains around the maintained EUR 2.7 billion 2027 forecast.

Bull assumes EUR 10.8 billion of revenue and EUR 2.3 billion of EBITDA, a 20.8% margin. Strong pulp spreads and availability produce additional cash, materials gain premium share, the paper joint venture clears without onerous remedies and Leuna reaches the best option leg. Higher operating cash flow allows net debt to decline rather than remaining at base-case levels.

BOTTOM LINE

UPM owns assets capable of earning materially more than 2025 results, but the current price already discounts a meaningful recovery. The EUR 24.1 SOTP target recognizes Uruguay quality, clean power and materials resilience while assigning only probability-weighted value to Leuna and a low multiple to graphic paper. HOLD is appropriate until operational evidence converts asset quality into less cyclical free cash flow.

FINANCIAL BRIDGE · PART 1

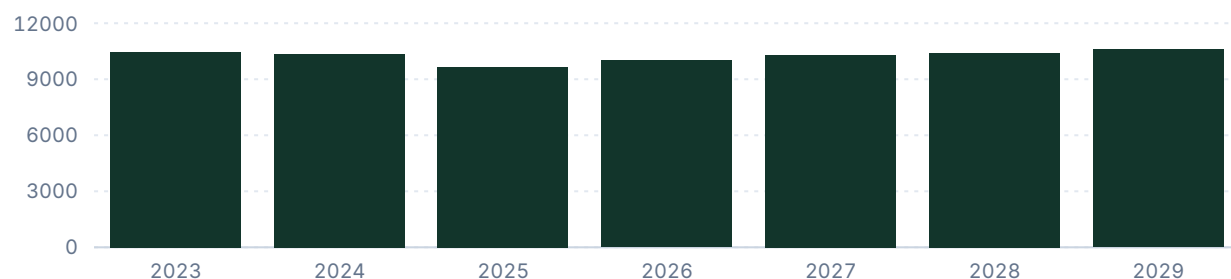
Net sales, EBITDA / EBIT, EBIT margin

14

Group-level trajectory for sales, earnings and margin; shaded bands mark forecast periods.

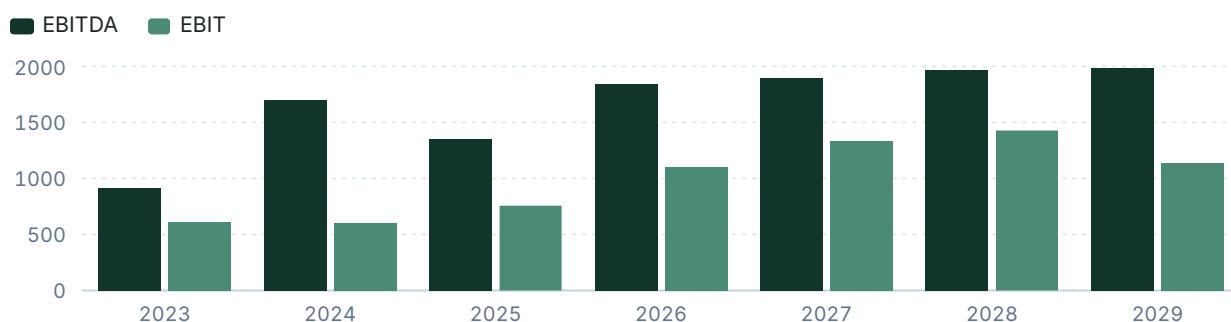
Net sales

EUR millions



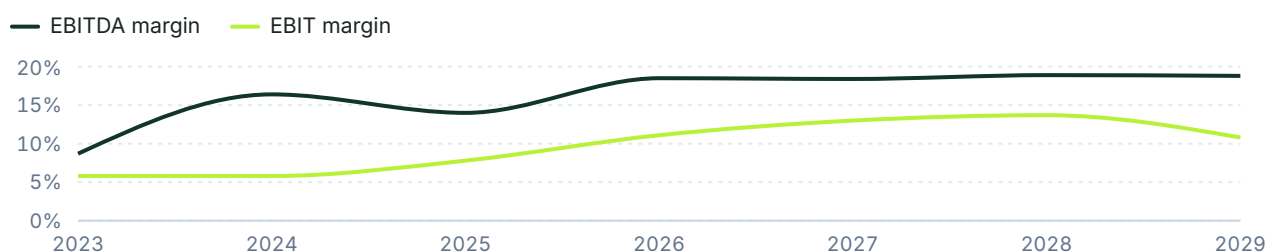
EBITDA & EBIT

EUR millions



EBIT and EBITDA margin

% of net sales



FINANCIAL BRIDGE · PART 2

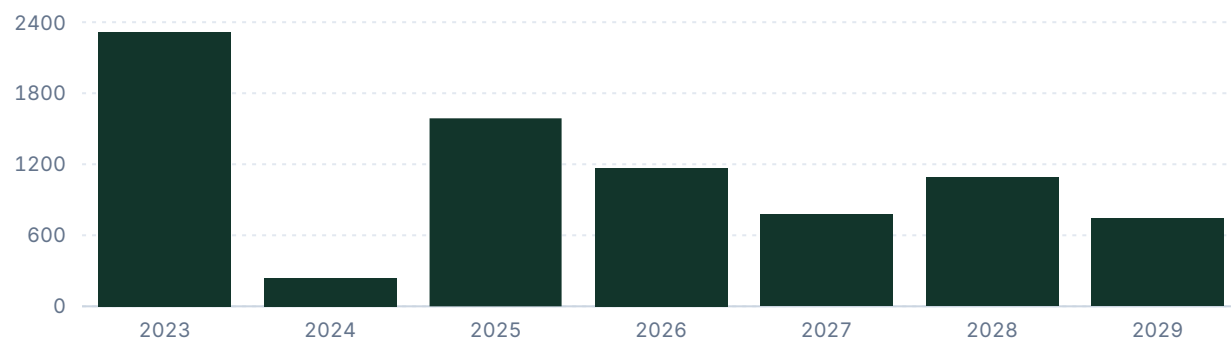
15

Free cash flow, leverage, and key financials

Cash generation and balance-sheet capacity.

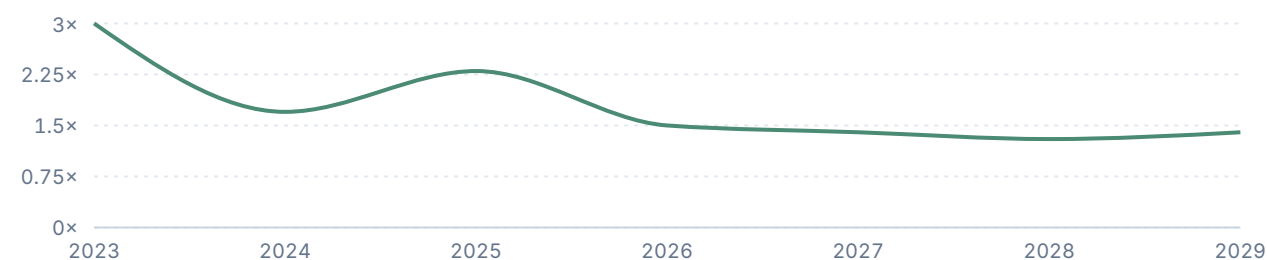
Free cash flow

EUR millions



Net debt / EBITDA

Ratio



KEY FINANCIALS

	2025	2026	2027	2028	2029
Net Sales	9,656	10,000	10,300	10,400	10,587
EBITDA	1,351	1,846	1,899	1,964	1,987
Comparable EBIT	757	1,105	1,335	1,428	1,140
Net Earnings	491	902	1,074	1,152	872
EPS (EUR)	0.9	1.7	2	2.2	1.7
DPS (EUR)	1.5	1.4	1.6	1.8	1.3

VALUATION

Target price derivation

16

The rationale for the chosen valuation method and multiple, with the company's historical multiples.

SOTP is primary because pulp, clean power, specialty materials, declining graphic paper and pre-profit biochemicals require different economics. Profit engines use EBITDA or EBIT multiples within the supplied peer and UPM-history brackets; Leuna uses discounted probability-weighted option legs. The total receives 100% weight, while component rows carry 0% to avoid double counting. The sensitivity tests 2027 group EBITDA from EUR 1,519.2-2.3 billion and blended multiples from 7.3-9.3x.

What the market is pricing.

The EUR 23 control price equals EUR 12.1 billion of equity and EUR 15.3 billion of EV. Against EUR 15.1 billion assigned to the four profit engines in the target SOTP, the market leaves only EUR 176 million for Leuna, versus approximately EUR 756 million in the base option value. Holding option-leg economics constant, the current price therefore implies roughly 23% of the report's aggregate Leuna success weighting.

The market assumes Leuna deserves only about EUR 176m after valuing the four profit engines. We assign a different reading: First sugar deliveries and substantial volumes justify approximately EUR 756m of probability-weighted value, but not full success value. (UPM, 19 December 2025 and 23 July 2026)

The market assumes The reverse case's 9.4% 2026 EBIT margin is sufficient to frame normalized earnings. We assign a different reading: The maintained model's 11.1% reflects Uruguay improvement and lower Finnish wood costs, supporting modestly higher EV. (UPM, 23 July 2026; Finnish pulpwood about 30% lower year on year)

The market assumes Asset backing should remain at book-oriented valuation levels. We assign a different reading: The forest estate's EUR2.3 billion median-price indication supports downside value, though productive-area differences prevent full recognition. (UPM Annual Report, 4 March 2026; National Land Survey, 26 February 2026)

Two enterprise values, two questions. The division pages allocate today's market enterprise value across the divisions; the target-price bridge states what each is worth on this report's own estimates. For UPM Biochemicals (Leuna) the two readings are 727 m allocated and 758 m warranted.

HISTORICAL AND FORECAST MULTIPLES

METRIC	2024A	2025A	2026E	2027E	NORMALIZED AVERAGE
P/E	30.59x	26.69x	13.47x	11.33x	26.22x
EV/EBITDA	10.36x	12.30x	8.27x	8.04x	11.01x
EV/EBIT	29.13x	21.95x	13.82x	11.44x	22.04x
EV/Sales	1.70x	1.72x	1.53x	1.48x	1.89x
P/BV	1.27x	1.31x	1.20x	1.12x	1.51x
Dividend yield	5.6%	6.1%	6.0%	7.1%	4.7%

VALUATION

Peers and target price bridge

17

Validated peer multiples, each method's implied price and weight, and the sensitivity of the target.

PEER COMPARISON

COMPANY	2026E EV/EBITDA	2026E EV/EBIT	2026E EBIT MARGIN
UPM	8.27x	13.82x	11.1%
Stora Enso	7.9x	17.2x	6.8%
Suzano	4.6x	8.0x	27.5%
Fortum	12.6x	16.9x	21.8%
Peer median	7.9x	16.9x	21.8%

TARGET PRICE BRIDGE

METHOD	FORECAST METRIC	METRIC VALUE	SELECTED MULTIPLE	IMPLIED PRICE (12M DISC.)	WEIGHT
· UPM Fibres	2027E Modelled EBITDA	800	8.9x	13.5 EUR	
· UPM Energy	2026E Modelled EBIT	200	16.0x	6.1 EUR	
· UPM Raflatac & Specialty Materials	2027E Modelled EBITDA	400	9.3x	7.0 EUR	
· UPM Communication Papers	2027E Modelled EBITDA	145	7.4x	2.0 EUR	
· UPM Biochemicals (Leuna) (probability-weighted)	Expected enterprise value	n/a	n/a	1.4 EUR	
· · commercial floor	2029E Modelled EBITDA ...	80	9.0x	1.4 → 0.3 EUR	
· · base success	2030E Modelled EBITDA ...	140	10.0x	2.7 → 0.6 EUR	
· · full success	2031E Modelled EBITDA ...	220	11.0x	4.6 → 0.5 EUR	
Sum of the parts	2026 - 2031 Probability - ...	n/a	n/a	24.1 EUR	100%
Weighted target price				24.1 EUR	100%

SENSITIVITY — IMPLIED SHARE PRICE

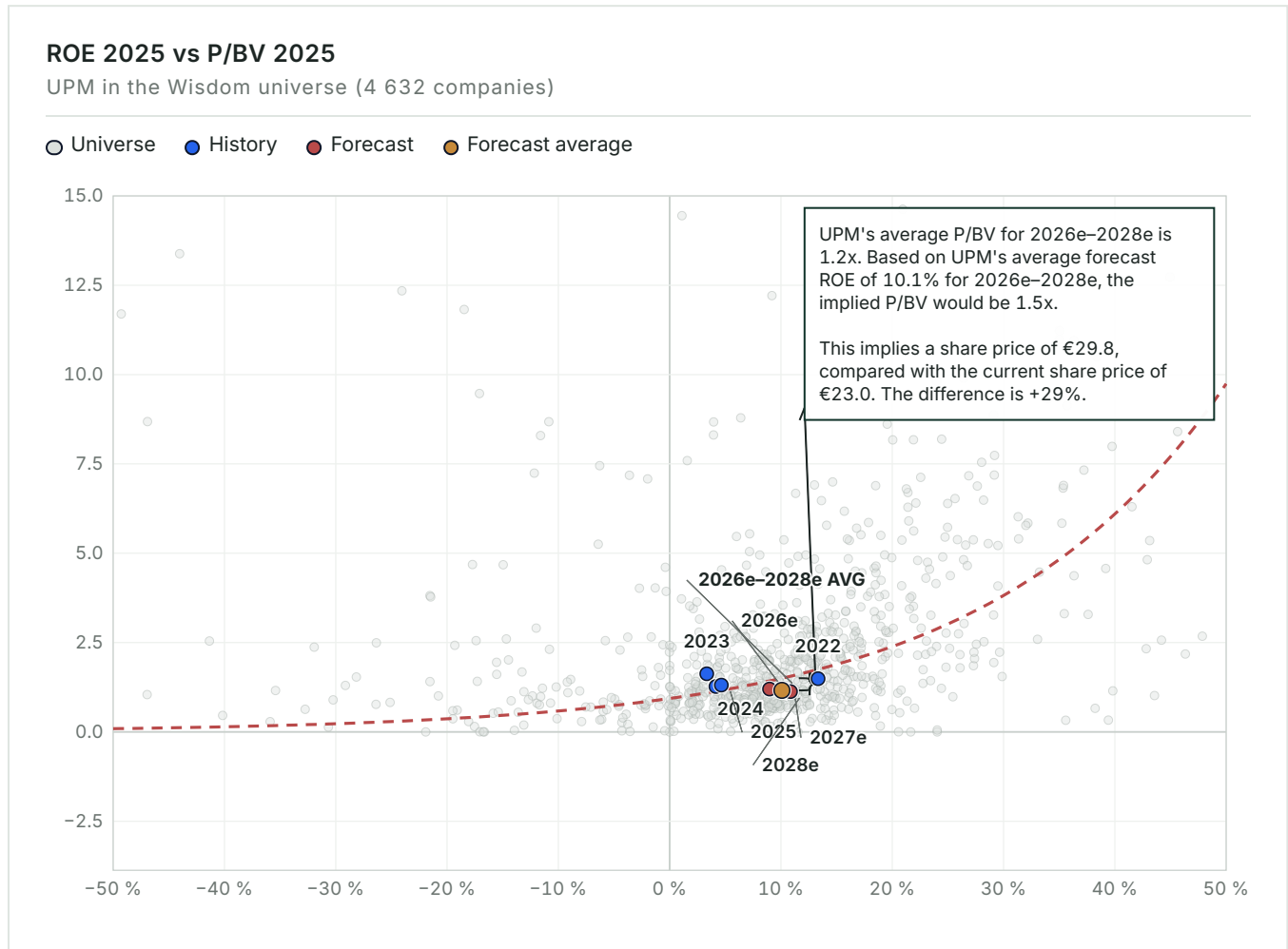
UPM BIOCHEMICALS (LEUNA) SUCCESS PROBABILITY	7.0X	8.5X	10.0X	11.5X	13.0X
37.5%	23.2	23.3	23.4	23.5	23.6
56.3%	23.4	23.6	23.7	23.9	24.1
75% (bridge case)	23.7	23.9	24.1	24.3	24.5
93.8%	23.9	24.2	24.5	24.7	25.0
100%	24.0	24.3	24.6	24.9	25.2

VALUATION MAP

ROE vs P/BV — pricing versus profitability

18

The whole Wisdom universe as context: how the market prices profitability on average, and what the company's forecast position would imply for the share price.



Across 4,632 consensus companies, UPM's average 2026–2028 ROE of 10.1% maps to a curve-implied 1.5x P/BV versus 1.2x for UPM. Applying 1.5x to average forecast book value of EUR 19.8 gives EUR 29.8 per share, 29% above EUR 23. This is an asset-and-return cross-check, not the target, because it does not separately price pulp cyclicalities, nuclear availability or Leuna execution.

MULTIPLES & SENSITIVITY

19

Forward multiples and EBITDA × multiple grid

How the implied valuation responds to changes in EBITDA and the applied multiple.

FORWARD MULTIPLES	
	2026
P/E	13.5×
EV/EBITDA	8.3×
EV/EBIT	13.8×
P / Valuatum FOCF	10.4×
P/BV	1.2×
Dividend Yield	6.0%
Net Debt / EBITDA	1.5×

EBITDA × EV/EBITDA sensitivity						
2027E GROUP EBITDA Blended EV/EBITDA →						
	7.3×	7.8×	8.3×	8.8×	9.3×	
-20% EUR 1,477m	EUR 10,782m EUR 14.50 / sh	EUR 11,521m EUR 15.90 / sh	EUR 12,259m EUR 17.30 / sh	EUR 12,998m EUR 18.70 / sh	EUR 13,736m EUR 20.10 / sh	
-10% EUR 1,661m	EUR 12,125m EUR 17.00 / sh	EUR 12,956m EUR 18.60 / sh	EUR 13,786m EUR 20.20 / sh	EUR 14,617m EUR 21.80 / sh	EUR 15,447m EUR 23.30 / sh	
Base EUR 1,846m	EUR 13,476m EUR 19.60 / sh	EUR 14,399m EUR 21.40 / sh	EUR 15,322m EUR 23.10 / sh	EUR 16,245m EUR 24.90 / sh	EUR 17,168m EUR 26.60 / sh	
+10% EUR 2,031m	EUR 14,826m EUR 22.20 / sh	EUR 15,842m EUR 24.10 / sh	EUR 16,857m EUR 26.00 / sh	EUR 17,873m EUR 27.90 / sh	EUR 18,888m EUR 29.90 / sh	
+20% EUR 2,215m	EUR 16,170m EUR 24.70 / sh	EUR 17,277m EUR 26.80 / sh	EUR 18,385m EUR 28.90 / sh	EUR 19,492m EUR 31.00 / sh	EUR 20,600m EUR 33.10 / sh	

SCENARIO VALUATION

20

Bear / Base / Bull bridge

Revenue, EBITDA, multiple, EV, equity, value-per-share and upside in each scenario.

SCENARIO BRIDGE

	REVENUE	EBITDA	MARGIN	MULTIPLE	EV	EQUITY	VALUE / SHARE	UPSIDE
Bear	9,500	1,400	14.7%	10.8×	15,093	11,953	EUR 22.67	-1.4%
Base	10,300	1,899	18.4%	8.3×	15,851	12,711	EUR 24.10	+4.8%
Bull	10,800	2,250	20.8%	7.5×	16,792	13,652	EUR 25.89	+12.6%

KEY CONDITIONS

Bear removes all Leuna option value and combines weaker pulp, outages and delayed paper closures; base uses probability-weighted Leuna legs and maintained group forecasts; bull uses the best Leuna leg, stronger profit-engine earnings and lower net debt from superior cash generation. The scenarios therefore change both operating cash generation and balance-sheet outcomes rather than carrying base debt unchanged. Each scenario is priced in the target-price bridge's own grammar: the profit engines as modelled plus UPM Biochemicals (Leuna) at zero (Bear), at the bridge's probability weighting (Base) and at the best single scenario leg with certainty (Bull). The multiple column is therefore the implied group EV/EBITDA at that value, not a selected multiple. The code-verified 12-month target of EUR 24.1 sits between Bear and Base (Bear EUR 22.7, Base EUR 24.1, Bull EUR 25.9); its method weights are shown in the Target Price Bridge.

THESIS BREAKER

The base scenario fails if pulp-price weakness, Energy outages and Leuna losses occur together for more than one reporting cycle.

CATALYSTS

Monitoring checklist

21

Near-, medium- and long-term events that could change the recommendation.

CATALYST REGISTER				
	TIMING	SEGMENT	INDICATOR	VALUATION IMPACT
Paso delivered cash cost confirmed near stated objective	NEAR-TERM	UPM Fibres	Maintenance-adjusted USD per delivered tonne	Validates largest pool's 8.9x valuation
OL3 completes its planned 50-day annual outage	NEAR-TERM	UPM Energy	Restart date and H2 maintenance cost	Protects normalized EUR 200m EBIT
Adhesive growth holds with double-digit margin	NEAR-TERM	UPM Raflatac & Specialty Materials	Organic sales growth and comparable EBIT margin	Supports premium to industrial peers
European Commission resumes paper-JV review	NEAR-TERM	UPM Communication Papers	Review status and remedy scope	Clarifies restructuring probability
RFF and lignin derivative deliveries begin	NEAR-TERM	UPM Biochemicals	Commercial deliveries from Leuna	Raises confidence in option legs
Leuna reaches positive EBIT	MEDIUM-TERM	UPM Biochemicals	Quarterly and full-year comparable EBIT	Moves value toward base success leg
WISA demerger completes after approvals	MEDIUM-TERM	UPM Fibres	EGM outcome and completion notice	Improves portfolio transparency
READ - THROUGH Corporate actions matter through transparency and capacity discipline. The WISA completion date was planned for 31 October 2026, but the September EGM outcome was unavailable on the report date. The graphic-paper review and Leuna commercial deliveries have greater valuation asymmetry because neither is fully reflected as a completed outcome.				

RISKS

Risk register

22

Each risk's business division, mechanism, early-warning trigger, impact band and structural type.

RISK REGISTER					
	SEGMENT	MECHANISM	EARLY WARNING	IMPACT	TYPE
Sustained pulp-price decline	UPM Biochemicals	Reduces pulp spread and weakens wood-based product pricing	EUR 50/t decline and competitor inventory growth	HIGH	THESIS BREAKER
Extended Ouliluoto outage	UPM Communication Papers	Loses generation during high prices and raises mill exposure	Restart delay beyond planned 50 days	HIGH	MANAGEABLE
Raw-material pass-through failure	UPM Raflatrac & Specialty Materials	Input inflation compresses coating and paper spreads	Growth with margin below 10%	MEDIUM	MANAGEABLE
Graphic-paper remedies or JV delay	UPM Communication Papers	Postpones capacity optimization and raises standalone costs	Review remains suspended or remedies expand	MEDIUM	STRUCTURAL
Leuna yield or qualification failure	UPM Biochemicals	Prevents premium contracts and prolongs commissioning losses	No RFF deliveries or positive EBIT slips beyond 2027	HIGH	THESIS BREAKER
South American supply growth	UPM Fibres	Arauco and other additions pressure hardwood pulp prices	Sucuriú starts while demand growth remains weak	HIGH	STRUCTURAL
Dividend exceeds recurring earnings	UPM Energy	Limits deleveraging and option-funding flexibility	Payout remains above earnings and debt rises	MEDIUM	MANAGEABLE
READ - THROUGH Graphic-paper decline is structural but manageable if closures track demand. Materials pass-through and dividend policy are management-controlled to a greater degree. Investors should distinguish temporary commissioning or maintenance cash outflow from evidence that the underlying unit economics are permanently below the valuation assumptions.					

23

APPENDIX

Income statement

INCOME STATEMENT — EUR MILLIONS						
	2023	2024	2025	2026 E	2027 E	2028 E
Net Sales	10,460	10,339	9,656	10,000	10,300	10,400
EBITDA	912	1,698	1,351	1,846	1,899	1,964
EBITDA margin	8.7%	16.4%	14.0%	18.5%	18.4%	18.9%
Depreciation	-304	-1,094	-594	-741	-564	-536
Operating Profit (EBIT)	608	604	757	1,105	1,335	1,428
EBIT margin	5.8%	5.8%	7.8%	11.1%	13.0%	13.7%
Net financial items	-143	-104	-67	-46	-63	-64
Pre-tax Profit	465	500	690	1,059	1,272	1,364
Net Earnings	395	463	491	902	1,074	1,152
PER SHARE						
EPS	0.7	0.9	0.9	1.7	2	2.2
DPS	1.5	1.5	1.5	1.4	1.6	1.8
Payout ratio	202.5%	172.8%	161.5%	80.0%	80.0%	80.0%

E = Valuatum estimate (not yet actualised)

24

APPENDIX

Balance sheet

BALANCE SHEET — EUR MILLIONS						
	2023	2024	2025	2026 E	2027 E	2028 E
ASSETS						
Tangible assets	9,166	7,933	9,842	9,311	9,590	9,683
Intangibles	715	580	554	574	591	597
Goodwill	283	174	264	264	264	264
Non-current assets	13,483	13,535	12,925	12,413	12,710	12,809
Inventories	1,949	2,070	1,886	1,970	2,029	2,049
Receivables	1,873	2,073	1,593	1,653	1,700	1,716
Cash & equivalents	632	892	715	783	807	815
Current assets	4,454	5,035	4,194	4,406	4,536	4,579
Total Assets	18,473	19,096	17,532	17,233	17,659	17,801
EQUITY & LIABILITIES						
Equity	11,531	11,540	10,334	10,443	10,796	11,089
Long-term debt	2,444	2,945	3,638	1,762	1,773	1,690
Short-term debt	200	37	156	1,762	1,773	1,690
Long-term liabilities	3,179	3,656	4,268	2,392	2,403	2,320
Current liabilities	2,441	2,395	2,237	3,705	3,768	3,701
Total liabilities & equity	18,473	19,096	17,531	17,233	17,659	17,801
CAPITAL STRUCTURE & RATIOS						
Net debt	2,718	2,922	3,079	2,741	2,740	2,565
Capital invested	13,543	13,630	13,413	13,184	13,536	13,653
Equity ratio	62.4%	60.4%	58.9%	60.6%	61.1%	62.3%
Gearing	23.6%	25.3%	29.8%	26.2%	25.4%	23.1%
Net debt / EBITDA	3.0×	1.7×	2.3×	1.5×	1.4×	1.3×
Current ratio	1.8	2.1	1.9	1.2	1.2	1.2

E = Valuatum estimate (not yet actualised)

25

APPENDIX

Cash flow

CASH FLOW — EUR MILLIONS						
	2023	2024	2025	2026 E	2027 E	2028 E
OPERATIONS						
Cash from operations (model)	1,380	1,353	1,473	1,362	1,583	1,670
Operating cash flow (Valuatum calculation)	1,558	1,411	1,652	1,401	1,636	1,724
Change in working capital	-605	204	-387	282	55	18
INVESTING & FREE CASH						
Gross capex	-703	1,146	-16	229	861	635
Capex (ex. M&A)	703	-1,146	16	-229	-861	-635
Cash after capex (CFO - gross capex)	677	207	1,457	1,132	722	1,035
Free operating cash flow (Valuatum def.)	2,316	241	1,587	1,171	776	1,089
Free cash flow to firm	2,317	241	1,588	1,171	776	1,089
FINANCING						
CF from financing	-3,371	-14	-1,798	-1,063	-699	-1,027
Dividends paid	-693	-800	-800	-793	-722	-859
Net change in cash	-1,288	193	-309	69	23	8

E = Valuatum estimate (not yet actualised)

26

APPENDIX

Quarterly snapshot

HISTORICAL QUARTERS — LAST TWO COMPLETED YEARS, EUR MILLIONS

	Q1/24	Q2/24	Q3/24	Q4/24	Q1/25	Q2/25	Q3/25	Q4/25
Net Sales	2,640	2,546	2,521	2,632	2,646	2,400	2,298	2,312
EBITDA	490	349	438	559	350	248	251	177
EBITDA margin	18.6%	13.7%	17.4%	21.2%	13.2%	10.3%	10.9%	7.7%
Comparable EBIT	343	199	305	-105	198	107	125	2
EBIT margin	13.0%	7.8%	12.1%	-4.0%	7.5%	4.5%	5.4%	0.1%
Net Earnings	280	31	247	-95	143	71	18	258
EPS	0.5	0.1	0.5	-0.2	0.3	0.1	0	0.5

CURRENT YEAR — QUARTERLY, EUR MILLIONS

	Q1/26	Q2/26	Q3/26 E	Q4/26 E
Net Sales	2,505	2,355	2,614	2,526
EBITDA	382	331	911	222
EBITDA margin	15.2%	14.1%	34.9%	8.8%
Comparable EBIT	255	207	633	10
EBIT margin	10.2%	8.8%	24.2%	0.4%
Net Earnings	200	166	305	236
EPS	0.4	0.3	0.6	0.5

E = Valuatum estimate (not yet actualised)

27

SOURCES & DISCLAIMER

Sources, assumptions, and standard disclaimer

SOURCES REGISTER

	VALUE	CATEGORY	USED IN
Financial statements and forecast model	Valuatum Wisdom model 12969, snapshot period 2026	FINANCIAL SNAPSHOT	Financials, forecasts & valuation
Share-price history and market profile	Financial Modeling Prep, UPM.HE financialmodelingprep.com	MARKET DATA	Price chart & market facts
UPM Financial Statements Release 2025	www.upm.com/.../upm-financial-statements-release-2025...	OFFICIAL SOURCE	Reported segment table
UPM reported full-year 2025 sales totaling EUR 9,656 millio...	www.upm.com/.../upm-financial-statements-release-2025...	OFFICIAL SOURCE	UPM
UPM's Board of Directors approved a demerger plan to separa...	www.upm.com/.../demerger	OFFICIAL SOURCE	UPM
UPM and Sappi signed a definitive agreement to form a joint...	www.upm.com/.../results-center	OFFICIAL SOURCE	UPM
The European Commission's investigation into the UPM/Sappi...	competition-cases.ec.europa.eu/.../M.12270	OFFICIAL SOURCE	European Commission

DISCLAIMER

This report is based exclusively on the supplied Valuatum model, verified control totals and cited research register as of 17 August 2026. Division financials are analyst-modelled allocations where the independent segment fact gate did not approve reported figures. The report is not investment advice and forecasts, probabilities and valuation multiples may not be realized.

This report contains an investment recommendation: a rating and a 12-month target price for the subject company's share. It is not personalised investment advice and takes no account of any individual recipient's objectives, financial situation or needs.

The target price is derived from Sum of the parts, weighted as shown in the target price bridge, against peer-group and historical multiples. The valuation methodology, key assumptions and their sensitivities are presented in the valuation section of this report.

The report is updated on demand — on new company disclosures or at the distributing client's request — with no fixed update schedule. The report is produced as a commercial service; the distributing client may have a commercial relationship with Valuatum Oy.

This report was produced with the assistance of generative artificial intelligence. It may contain inaccuracies. Figures should be independently verified before use.

© Valuatum Oy